Paris, 30 March 2026

BNP PARIBAS
The bank for a changing world

EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. **We have drawn up various scenarios**. According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

Stéphane Colliac
Head of the Advanced Economies Team, France Economist
stephane.colliac@bnpparibas.com

Guillaume Derrien
Eurozone Economist
guillaume.a.derrien@bnpparibas.com

GULF WAR: ARE FINANCIAL MARKETS SLEEPWALKING?

Asset prices have been moving in unusual ways since the onset of the Gulf War (no safe havens, limited dollar rally and de-risking). Do financial markets know something we don't, has something fundamentally changed in the way asset prices reflect economic expectations, or are they simply malfunctioning and about to swing wildly as things normalise? Unfortunately, it is impossible to know for sure, and what's more, these hypotheses are not mutually exclusive. So far, markets appear to expect an inflation spike, met with a firm central response, with limited damage to growth, and a relatively swift return of inflation to target range. That may turn out to be correct. But far worse outcomes are also very plausible. Not seeing them priced in to a greater degree helps limit damage to growth in the near term, but could cause trouble if this changes abruptly.

Markets around the world have had one overwhelming driver since reopening on March 1: the price of crude oil on exchanges (Brent and WTI). Not physical oil (the one delivered by pipelines and tankers), nor oil products like fuel, diesel. or petrol, whose prices have skyrocketed and which arguably matter a lot more for economic outcomes. Just "paper" oil (*i.e.*, financial contracts), the price of which has fluctuated wildly on an intraday basis, based on the ebb and flow of hopes and fears about the severity and length of this energy shock. Stocks, bonds, and non-dollar currencies have all exhibited a tight negative correlation to oil contracts. In other words, markets have been bouncing around based on little more than war communications from all belligerent parties.

Overall, one month into the war, oil was 55% more expensive, global stocks down 8% and gold down 15%; markets moved from expecting cuts from major central banks to expecting multiple hikes, and global yields were several decimal points higher, reaching levels not seen since the late 2000s in some cases (*see table and chart for more details*)[1]. None of this is crazy *per se*. But look deeper, and some inconsistencies and other oddities appear.

Market expectations for policy rates across major central banks: Number of hikes or cuts by year-end 2026

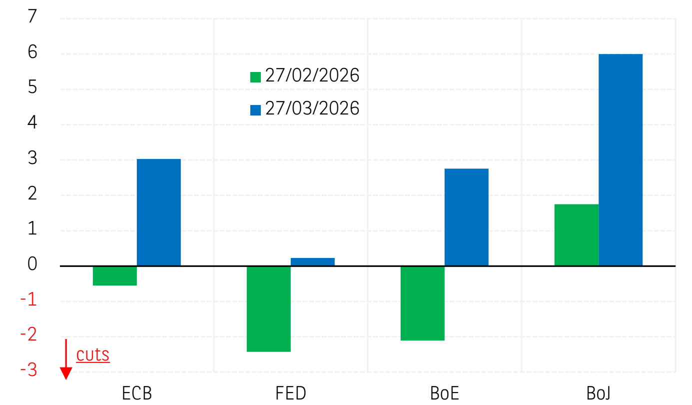


CHART 1 SOURCE: BLOOMBERG, BNP PARIBAS

NO SAFE HAVENS

Stocks and bonds have sold off jointly. So has gold. While the latter is highly unusual, the former is, in fact, quite common in response to an inflationary shock, but these shocks were so rare from the 1980s to the 2020 pandemic that we had collectively forgotten about them. Indeed, a joint bonds-stocks selloff is exactly what happened in 2022. As inflation risks rise, central banks are expected to tighten monetary policy by increasing policy rates. This then pushes up short-term interest rates and depresses growth expectations. Ordinarily, capital would then flow to the relative safety of long-term government bonds (leading to a flattening and even often an inversion of the yield curve), and perennial stores of value like gold. Of course, this may yet happen, as markets move to worry more about growth.

But, this time, the flattening has been relatively muted, i.e., long term rates have not been bought as much as they typically would. There could be two reasons for this, not mutually exclusive: an inflation risk premium, and real rates. But market-based expectations of inflation in 10 years have not moved up meaningfully (unlike shorter term ones). That leaves real rates. Why would real rates have gone up since the start of the war? The most likely explanation is that markets expect higher government deficits. This makes sense considering the large deficits incurred by most advanced countries' governments in 2022-23 to help cushion the shock from higher energy costs (between over 3% and over 5% of GDP in Europe's largest economies).

Markets overview Feb 27 – March 27

	27/03/2026	in % change 1-Week	Since Feb 27	Year to date	1-Year
S&P500	6368.9	-2.1	-7.4	-7.0	+11.9
Nasdaq Composite	20948.4	-3.2	-7.6	-9.9	+17.7
Euro STOXX 50	5505.80	+0.1	-10.3	-4.9	+2.3
CAC40	7701.95	+0.5	-10.2	-5.5	-3.6
Bloomberg World Index	2239.14	-1.5	-8.5	-5.0	+14.2
Nikkei 225	53373.07	+0.0	-9.3	+6.0	+41.2
Hang Seng Index	24951.88	-1.3	-6.3	-2.6	+5.8

	27/03/2026	in bps 1-Week	Since Feb 27	Year to date	1-Year
OAT 10Y (%)	3.83	+7.9	+61.6	+27.0	+36.6
Bund 10Y (%)	3.09	+5.1	+45.1	+23.9	+32.1
US Tr. 10Y (%)	4.43	+4.8	+49.0	+26.1	+6.8
JGB 10Y (%)	2.39	+11.1	+26.8	+32.2	+79.9
Gilt 10Y (%)	4.97	-2.0	+74.1	+49.5	+19.1

		in % change			
EURUSD	1.15	-0.5	-2.6	-2.0	+6.6
DXY Index	100.15	+0.5	+2.6	+1.9	-4.0
Brent ($/bbl)	112.57	+0.3	+55.3	+85.0	+52.1
Dutch TTF Price (€/MWh)	54.18	-8.6	+71.4	+83.8	+31.8

TABLE SOURCE: BLOOMBERG, BNP PARIBAS

1 Numbers refer to the prices of Oil brent spot contracts and the All Countries World Index (ACWI) from market close on 27/2/2026 to 27/3/2026.

However, precisely because of the legacy of these large deficits, there is much less room for maneuvering this time. That is why most governments' responses to date have been far more targeted, time-limited and restrained. If it stays that way, markets may therefore revise term premium down; but ongoing concerns about large fiscal deficits could keep it high or even push it higher in individual countries. The underperformance of US Treasuries, UK Gilts and Italian BTPs are noteworthy in this respect. So are the unusually poor trading conditions in US Treasuries in the last week of March, with three bond auctions (2Y, 5Y and 7Y) showing unusually low demand.

For now, the rise in long-term real rates could help explain the counter-performance of gold. Another likely explanation is gold's parabolic performance in the run-up to the war, which made it a preferred asset to sell for any holder (including central banks) confronted with liquidity needs.

LIMITED DOLLAR APPRECIATION

The dollar index is up 2.65% over the month. This is directionally what would be expected in the face of an energy price shock, which is a positive terms-of-trade shock for the US (and other energy exporters), and a negative one for all other countries. Moreover, the dollar has historically been a safe haven, rallying in times of heightened risk and risk aversion. But last year already provided a number of opportunities to see this pattern much weakened. The market moves of the past month have shown likewise, with currency moves in both developed and emerging markets being only about 2/3 of what previous patterns would predict. Nevertheless, should energy prices continue to escalate, we would expect the dollar to strengthen further, possibly with non-linearities along the way. In some countries, central banks may then be compelled to step in to alleviate selling pressure on their currencies that would intensify inflation and financial stability risks.

MUTED DE-RISKING

In recent days, stock markets have started registering somewhat more meaningful losses; however, this is largely linked to issues unrelated to the war impacting tech stocks, which had until now acted as safe heaven. Despite US and, to a lesser extent global stocks, being richly priced before the war, only one major index (the NASDAQ) has corrected by more than 10% from peak to trough. Corrections of around 8% in a single month have happened roughly every 2.5 years on average since 2000. The VIX, the so-called "fear index" of expected S&P500 stocks volatility has been hovering between 25 and 30 (versus a long-term average around 20, and spikes above 50 last April in the wake of "Liberation Day"). Earnings expectations have not been downgraded meaningfully. And many stock analysts are holding on to their pre-war year-end targets for US indices. Surveys of global investors indicate they have not derisked their portfolios very much, with cash holdings remaining far below what we saw after last year's "Liberation Day" shock, let alone after the full-blown Russian invasion of Ukraine in 2022. This suggests global investors are not expecting the war and associated energy shock to cause meaningful damage to growth. The OECD and central banks that have published revised forecasts in recent weeks would seem to agree[2]. However, these forecasts were based on scenarios for the size and duration of the energy shock that are already out of reach given developments in energy markets and on the ground since then (see graph below).

Are these developments cause for concern? To a degree, yes. The absence of reliable hedges makes portfolio construction trickier by making it much harder to hedge risk. They also mean that this shock, if it persists or worsens, will inflict larger overall negative wealth effects (capital losses) than more traditional "risk-off" events. In countries like the US, where financial wealth effects contribute significantly to household consumption, it creates an additional downside risk to

TTF Gas Futures Prices, EUR/MWh

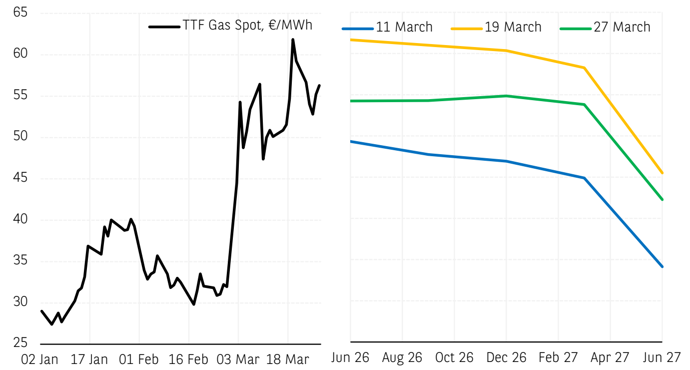


CHART 2 SOURCE: BLOOMBERG, BNP PARIBAS

Brent Crude Oil Futures Prices, USD/bbl

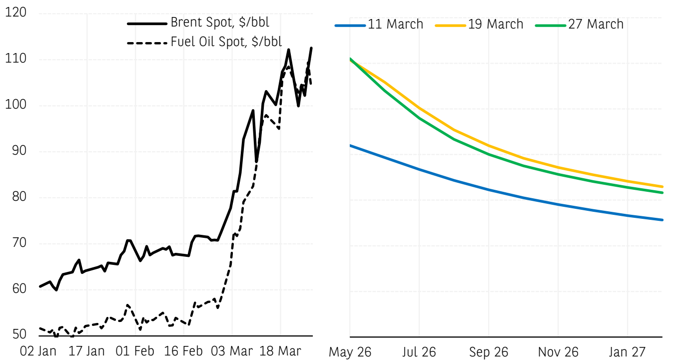


CHART 3 SOURCE: BLOOMBERG, BNP PARIBAS

growth. In Europe, for better or worse, this effect is insignificant in most countries, however.

The muted de-risking is also consequential, but not all negatively. As long as the possibility of scenarios that inflict only manageable growth costs persists, it is much preferable that financial markets do not amplify the headwinds from higher energy prices and more hawkish central banks. This would happen if we saw a spike in risk aversion that makes it prohibitive for corporates or sovereigns to access financing (or refinancing), and that pummels portfolios, potentially leading to systemic financial stability problems. Likewise, contracts for future oil prices have been assuming a relatively short-lived energy shock, and even spot prices have remained much below prices for physical delivery at key oil trading ports (*see charts above*). Given the overwhelming impact these prices have had on all other financial markets since the start of the war, this moderation is a good thing, a shock absorber of sorts.

Nevertheless, at some point, the future economic realities priced by markets and those delivered by facts on the ground will need to converge. At that point, we will either breathe a collective sigh of relief or have a rude awakening.

Isabelle Mateos y Lago
Charts: Tarik Rharrab

2 See March 2026 macroeconomic projections from the Fed, ECB, Banque de France and OECD. Our own work that milder scenarios for the evolution of the war deliver relatively limited growth impacts and transitory inflation increases. However, the now more likely adverse scenarios have more severe macroeconomic implications.

Find out more in our scenario and forecasts

OECD FORECAST

Moderate impact on growth, greater inflationary pressures. The OECD has slightly downgraded its growth forecasts for 2026: in the eurozone, growth is down by 0.4 percentage points to 0.8% (-0.2 percentage points for France and Germany), and in the UK by 0.5 pp (to 0.7%). Conversely, US growth has been revised upwards to 2% (+0.3 pp) in 2026, driven in particular by AI. In Asia and Latin America, the adjustments are modest, with South Korea being the most affected (-0.4 pp). Inflation forecasts have been raised by an average of +1.2 pp, to 4%, across G20 economies. The United States and the United Kingdom are the hardest hit (increases of more than one percentage point), compared with just +0.5pp for France and +0.2pp for Japan. These forecasts are based on a Brent price of USD 91 per barrel and a TTF price of EUR 56/MWh in 2026.

ADVANCED ECONOMIES

UNITED STATES

Markets down, import prices up. On 27 March, the 10-year yield reached 4.43% (a rise of 49 basis points since the end of February) and the S&P 500 closed at its lowest level since August 2025. The administration plans to suspend federal taxes on petrol, subject to congressional approval. A support package for farmers will be announced soon. Import prices surged in February (+3.8% m/m, +5.0pp – the highest increase since 2022) due to rising energy costs. According to the University of Michigan, household inflation expectations for the next 12 months rose in March (+3.8% y/y, +0.4pp). In Q4 2025, improvements in goods and primary income led to a reduction in the current account deficit to 2.4% of GDP (down from 3.1% in Q3). *Upcoming: employment report (Friday), speech by J. Powell (Monday), ISM manufacturing (Wednesday) and non-manufacturing (Friday), consumer confidence (Conference Board) and JOLTS survey (Tuesday), retail sales (Wednesday).*

EUROPEAN UNION

Reform of the Customs framework, new free trade agreements. The Customs Code has been revised, creating a European customs authority based in Lille and a centralised data portal (EU Customs Data Hub) which will replace the 111 existing national systems. The duty-free allowance for parcels valued under EUR 150 will be replaced on 1 July with a flat-rate duty of EUR 3 per item. The free trade agreement with Australia provides for the removal of over 99% of customs duties on exports of European goods ('reduction or elimination' for critical raw materials). European import quotas will remain in place for certain sensitive agricultural products. This agreement is accompanied by a security and defence partnership, but it requires ratification by the Member States. Meanwhile, the European Parliament has approved the trade agreement with the United States, which includes safeguard clauses.

EUROZONE

The conflict in the Middle East is having a moderate impact on business surveys, while long-term interest rates continue to rise. The composite PMI fell to its lowest level since May 2025 (-1.4 month-on-month to 50.5 in March, compared with -0.6 month-on-month in March 2022), but remains in expansionary territory. This decline is attributed to services (-1.8 pp to 50.1), while the manufacturing index rose (+0.6 pp to 51.4) despite pressures on input prices (+10.6 m/m to 68.8; 87 at its peak in 2022) and delivery times. The European Commission's Economic Sentiment Index saw a slight decrease in March (-1.6 points): household confidence fell by 4 points m/m to -16 in March (-13 m/m to -21 in March 2022). The services and trade indices also declined, but industry and construction showed an improvement. The German 10-year yield rose by nearly 20bp over the week to 3.1% (48bp since the end of February). The spread has stabilised at 75bp against the French 10-year and is approaching 100bp against the Italian 10-year (+15bp and +35bp compared with the end of February respectively). *Upcoming: inflation (Tuesday), unemployment rate (Wednesday).*

- France: Lower growth forecasts, moderate inflationary pressures and a smaller-than-expected public deficit in 2025. INSEE has revised its growth forecast for Q1 and Q2 down to 0.2%, reflecting a reduction of 0.1 percentage points in each quarter, resulting in a a carry-over effect of 0.9% at the mid-year mark. The Banque de France has also revised its annual growth forecast down to 0.9% (-0.1 percentage points) for 2026, based on an inflation scenario of 1.7% (+0.4 percentage points). The INSEE business climate index has returned to its November level in industry (99), with performance in the aerospace sector returning to normal. Other indices have remained stable, with the exception of wholesale trade (95 in March, down 5 points), which was hit by falling sales of consumer goods. Three-month price forecasts reflect moderate inflationary pressures primarily affecting hydrocarbons, information and communication equipment, and the food retail sector. The composite PMI deteriorated to 48.3 (-1.6 m/m) in March (-1.3 m/m to 48.3 in services). The manufacturing PMI, however, remains in expansionary territory (50.2; +0.1 m/m). Household confidence deteriorated in March to 89 (-2 m/m), compared with -8 m/m to 89 in March 2022. The willingness to make major purchases and concerns regarding unemployment are relatively stable. The public deficit reached 5.1% of GDP in 2025, compared to the government's target of 5.4%, marking an improvement of 0.7 percentage points attributed to a rebound in compulsory levies (see our detailed analysis). Public debt continued its upward trajectory, rising to 115.8% of GDP (+3 percentage points, as expected). The government has announced a support package worth EUR 70 million, comprising tax deferrals, emergency loans and fuel purchase subsidies benefiting agriculture (14 million), fisheries (5 million) and road transport (50 million). *Upcoming: inflation (Tuesday), industrial production (Friday).*

- Germany: Moderate deterioration in surveys. The composite PMI fell (-1.3 m/m to 51.9), primarily due to rising input prices (+6.7 m/m to 68.1; 15.8 points below the 2022 peak). The services PMI fell (-2.4 m/m to 51.2), whereas the manufacturing PMI rose (+0.8 m/m to 51.7, the highest since June 2022), attributed to pre-emptive purchasing in anticipation of potential supply difficulties. The IFO business climate index fell (-2.1 m/m to 86.4), but by less than in March 2022 (-8.6 m/m). GfK consumer confidence hit a two-year low in March 2026 (-3.2 m/m to -28),but fell less than in March 2022 (-7.2 m/m). *Upcoming: inflation (Monday), retail sales (Tuesday), unemployment rate (Wednesday).*

JAPAN

Inflation provisionally more moderate, activity still buoyant. In February, inflation fell, with headline inflation at 1.3% y/y (-0.2pp) and the index excluding unprocessed food at 1.6% y/y (-0.4pp), due to government interventions on electricity and petrol prices. The New-Core index stands at 2.5% y/y (-0.1pp), indicating ongoing inflationary pressures, which are expected to be bolstered by wage growth (initial agreement for an average increase of +5.3% in 2026). In March, the Composite PMI decreased to 52.5 (-1.4 m/m), as did the manufacturing index (-1.6 m/m to 51.4) and the services index to 52.8 (-1 m/m). On average, for the first quarter, the PMIs represent the strongest performance since 2013. The USD/JPY continues to depreciate and is approaching the 160 mark. The Finance Minister has promised a "firm response" to what is described as speculative activity. Prime Minister S. Takaichi is calling on the IEA to release

Find out more in our scenario and forecasts

additional oil reserves. Finally, as the upper house has yet to pass a budget, the government has submitted a provisional 11-day budget for the start of the 2026 fiscal year (1 April). *Upcoming: Q1 Tankan survey (Wednesday), BoJ Summary of Opinions (Monday), industrial production and retail sales (Tuesday).*

UNITED KINGDOM

First impacts of the conflict in Iran are evident but limited in scope. PMIs fell in March, with the composite index at 51 (-2.7 m/m), services at 51.2 (-2.7 m/m) and manufacturing at 51.4 (-0.3 m/m), impacted by longer delivery times and rising input costs. According to GfK, household confidence fell to -21 (-3 m/m), marking its lowest level in a year. Headline inflation remained stable at 3% y/y in February, with core inflation rising by 0.1 pp to 3.2%. The government has announced a "framework to combat abusive practices" regarding margins, and intends to expedite the development of energy infrastructure, particularly in nuclear energy. Measures to reduce customs duties on agri-food products are also under consideration. The 10-year yield rose by 10 basis points over the week, crossing the 5% threshold, resulting in a total rise to 80 basis points since the end of February. *Upcoming: Final Q4 GDP (Tuesday).*

EMERGING ECONOMIES

The major emerging market currencies have held up fairly well since the start of the war in the Middle East. From 27 February to 27 March 2026, the sharpest depreciation was seen in Thailand (-5.6% against the USD), South Korea (-4.7%), the Philippines (-4.6%), Chile (-5.6%), South Africa (-6.7%), Egypt (-9.2%) and Hungary (-5.4% against the USD and -3.1% against the EUR). These countries are particularly exposed to the repercussions of the conflict as they are major net importers of oil and gas, rely on Gulf producers for their supply of raw materials, or have macroeconomic vulnerabilities. Last week, the Hungarian forint appreciated slightly. The Brazilian real (-2.4% against the USD in total since 27 February) has also partially recovered following the depreciation of the previous three weeks. Conversely, downward pressure on the Indian rupee has increased in recent days (-4.1% against the USD since 27 February).

AFRICA & MIDDLE EAST

South Africa: Policy rate remains unchanged. Inflation reached the Central Bank's new target in February (3% year-on-year), but is expected to rise sharply from April onwards as regulated petrol prices are set to increase in response to fluctuations in oil prices. The depreciation of the rand is also likely to fuel inflation in the coming weeks. As a result, the Central Bank may consider raising its key interest rate at the next monetary policy committee meeting in May, whereas cuts had been anticipated prior to the conflict. The yield on 10-year government bonds rose by 117 basis points between 27 February and 27 March.

Nigeria: The Central Bank is strengthening its monetary framework by introducing an inflation target (of 6–9% year-on-year). Since 2024, combating inflation has become its priority. Inflation is falling sharply (15% in February) following several months of restrictive monetary policy. However, it is expected to rise again in the short term due to the war in the Middle East.

Gulf countries: Air traffic has plummeted. The number of departures from the region's main airports is now less than half of what it was before the conflict. The situation is almost back to normal in Saudi Arabia and Oman, while Dubai airport is operating at only 35% of its capacity (despite a slight upturn in traffic last week). Airports in Bahrain, Kuwait and Qatar are virtually at a standstill.

In Kuwait, the authorities have just announced a support plan for the banking sector. Meanwhile, the Saudi authorities sought to reassure investors during the FII PRIORITY Summit in Miami, emphasising the strength of macroeconomic fundamentals. Its Public Investment Fund (PIF) reiterated its commitment to its international investment strategy. It is worth noting that Gulf sovereign wealth funds have participated in several transactions since the start of the conflict.

ASIA

Governments are taking action in response to the sharp rise in petrol prices and supply difficulties. A state of emergency has been declared in the Philippines. Elsewhere, exports of refined petroleum products have been banned (China, Vietnam, Thailand), taxes on exports of coal (Indonesia) or petroleum products (India) have been increased, and petrol subsidy policies have been revised. To protect public finances, Thailand has suspended its petrol price subsidies, while Malaysia has capped its subsidies at 200 litres per month for the most disadvantaged households. **India** is currently maintaining fixed prices but has abolished taxes on heating oil to limit losses for state-owned enterprises, which absorb the difference between international market prices and domestic selling prices. **China** is tightening its controls on retail prices for petrol and diesel and is asking state-owned energy companies to absorb part of the price rise, at least temporarily.

Bond yields in local currencies rose only slightly, except in the Philippines (+110 basis points on 10-year bonds since 27 February). The rise accelerated this week in India, which has seen a total rise of only +28 bps since 27 February. In China, government bond yields have barely moved over the past month (+3 bp), as markets do not expect any rate hikes from the central bank.

EMERGING EUROPE

Measures announced in response to rising energy prices. In Poland, the VAT rate on fuel will fall to 8% from the current 23%, and excise duty will be reduced. The authorities are also considering a windfall tax on oil companies. Slovakia is set to impose restrictions on the sale of diesel at petrol stations. The latter can also fix a higher price for diesel for vehicles registered abroad.

Tensions on the bond markets. The Romanian government cancelled several bond auctions in March. However, the rise in bond yields has been contained in the region, with an average increase of around 100 basis points for five-year yields since 27 February.

Hungary: Monetary status quo. As expected, the Central Bank kept its key interest rate at 6.25%. It is expected to proceed with caution in the coming months.

LATIN AMERICA

Chile: The key interest rate was kept at 4.5%. The Central Bank stated that, given the inflationary pressures linked to rising oil prices and uncertainties about the duration of the shock, the target of bringing inflation down to 3% has been pushed back to 2027.

Mexico: The base rate has been cut by 25 basis points to 6.75%. Although inflation forecasts have been revised upwards (4% in 2026 compared with 3.8% previously), the Central Bank asserts that "the current inflation outlook leaves room for manoeuvre" for a further rate cut in the short term. The target for inflation to reach 3% remains unchanged for Q2 2027.

COMMODITIES

LNG: Around 8% of global production has been affected by a Category 4 cyclone in Australia, resulting in the temporary shutdown of three Australian LNG production units, including the two largest. Since the suspension of Qatari exports, Australia has become the world's second-largest exporter of LNG, supplying exclusively to Asia (primarily China and Japan). European gas prices (TTF) remained stable on Friday.

Saudi Arabia's East-West pipeline is now operating at full capacity, with 7 mb/d of crude oil flowing to the Yanbu terminal. In total, 5 mb/d of crude oil is exported, while less than 1 mb/d is refined prior to export; the remainder is allocated to domestic consumption.

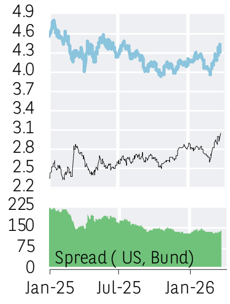
The price of Brent crude continues to rise, currently standing at around USD116 per barrel following a 12.6% increase last week.

MARKETS OVERVIEW

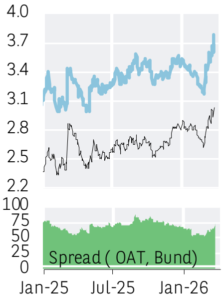
Bond Markets

	in %	in bps			
	27/03/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.64	+1.0	+67.4	+55.3	+57.3
Bund 5Y	2.79	+4.1	+58.1	+32.9	+45.9
Bund 10Y	3.09	+4.2	+47.9	+23.0	+31.2
OAT 10Y	3.83	+7.7	+66.3	+26.8	+36.4
BTP 10Y	4.02	+10.3	+80.4	+52.1	+33.1
BONO 10Y	3.54	+6.6	+58.2	+29.5	+24.7
Treasuries 2Y	3.95	-0.1	+53.6	+46.5	-9.3
Treasuries 5Y	4.07	+4.7	+54.5	+34.0	-2.6
Treasuries 10Y	4.39	-1.2	+43.6	+22.5	+3.2
Gilt 2Y	4.48	-9.6	+95.4	+72.5	+20.8
Treasuries 5Y	4.55	-4.1	+75.0	+69.7	+15.1
Gilt 10Y	4.96	-3.9	+65.6	+47.6	+17.2

Bund 10Y & US Treas. 10Y



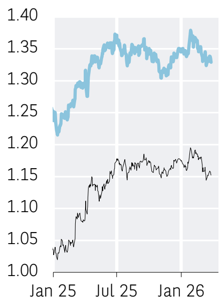
Bund 10Y & OAT 10Y



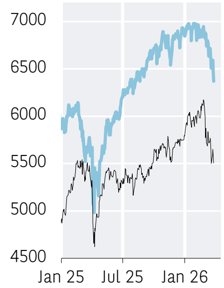
Currencies & Commodities

	Level	Change, %			
	27/03/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.15	-0.6	-2.4	-2.0	+6.5
GBP/USD	1.33	-0.1	-1.1	-1.2	+2.5
USD/JPY	160.15	+0.6	+2.6	+2.2	+6.1
DXY	100.15	+0.5	+2.6	+1.9	-4.0
EUR/GBP	0.87	-0.1	-1.3	-0.7	+4.1
EUR/CHF	0.92	+0.8	+1.1	-1.3	-3.6
EUR/JPY	184.50	+0.3	+0.1	+0.2	+13.2
Oil, Brent ($/bbl)	112.57	+0.1	+55.2	+85.0	+52.0
Gold ($/ounce)	4528	-1.3	-13.8	+4.7	+48.4

EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Equity Indices

	Level	Change, %			
	27/03/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4181	-1.5	-8.3	-5.6	+13.1
North America					
S&P500	6369	-2.1	-7.4	-7.0	+11.9
Dow Jones	45167	-0.9	-7.8	-6.0	+6.8
Nasdaq composite	20948	-3.2	-7.6	-9.9	+17.7
Europe					
CAC 40	7702	+0.5	-10.2	-5.5	-3.6
DAX 30	22301	-0.4	-11.8	-8.9	-1.7
EuroStoxx50	5506	+0.1	-10.3	-4.9	+2.3
FTSE100	9967	+0.5	-8.6	+0.4	+15.0
Asia					
MSCI, loc.	1770	+0.6	-7.1	+4.8	+23.0
Nikkei 225	53373	+0.0	-9.3	+6.0	+41.2
Emerging					
MSCI Emerging ($)	1437	-1.8	-10.8	+2.3	+27.1
China	76	-1.2	-6.6	-7.9	+0.7
India	882	-2.6	-12.9	-16.6	-11.1
Brazil	1887	+3.8	-5.4	+14.6	+38.9

Oil, Brent ($/bbl)

Gold ($/ounce)

Performance by sector

Eurostoxx600

Year 2026 to 27-3, €

+30.0%	Oil & Gas
+14.8%	Telecoms
+9.2%	Utilities
+3.8%	Commodities
-1.1%	Chemical
-2.4%	Food industry
-2.8%	Industry
-3.2%	**Eurostoxx600**
-4.1%	Real Estate
-4.5%	Technology
-5.9%	Health
-6.9%	Insurance
-7.9%	Construction
-8.8%	Financial services
-9.2%	Banks
-9.9%	Retail
-13.6%	Travel & leisure
-19.2%	Media
-19.6%	Consumption Goods

S&P500

Year 2026 to 27-3, $

+40.0%	Energy
+13.5%	Telecoms
+11.4%	Retail
+6.9%	Materials
+6.9%	Utilities
+6.2%	Capital Goods
+5.2%	Food, Beverage & Tobacco
-3.1%	Tech. Hardware & Equip.
-4.0%	Pharmaceuticals
-5.3%	Semiconductors
-7.0%	**S&P500**
-8.4%	Insurance
-9.8%	Consumer Services
-10.7%	Consumer Discretionary
-11.7%	Bank
-13.0%	Healthcare
-13.1%	Commercial & Pro. Services
-13.8%	Media
-18.7%	Automobiles
-26.7%	Real Estate

MSCI World ($)

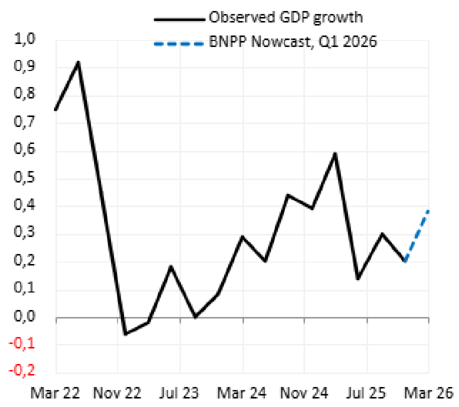
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 30 March 2026

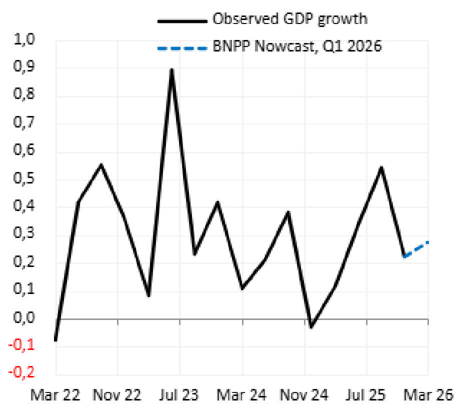
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



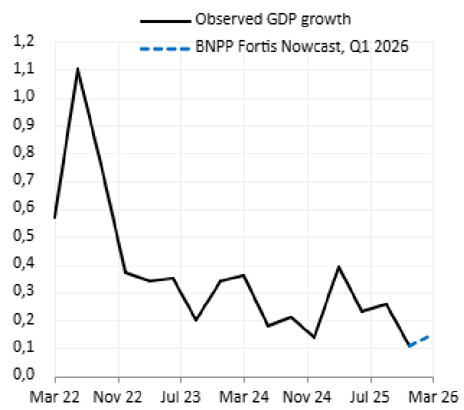
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the Nowscast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2,8	2,1	2,7	2,0	2,9	2,7	3,1	2,7
Japan	0,1	1,2	0,8	0,9	2,7	3,1	1,9	2,5
United Kingdom	1,1	1,3	1,0	1,3	2,5	3,4	3,2	2,5
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4.7	4.5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 30 March 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Q1	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.25	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.90	3.00	3.05	3.10	-
	OAT 10y	3.55	3.65	3.80	3.87	-
	BTP 10y	3.50	3.58	3.70	3.75	-
	BONO 10y	3.35	3.42	3.50	3.55	-
UK	Base rate	3.75	-	-	-	-
	Gilts 10y	4.50	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	1.90	2.00	2.05	2.10	-

Exchange Rates			2026			2027
End of period		Spot 27/03	Q2	Q3	Q4	Q4
USD	EUR / USD	1.15	1.18	1.19	1.20	1.22
	USD / JPY	160	158	159	160	160
	GBP / USD	1.33	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	184	186	189	192	195

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 30/03/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

We invite you to follow our EcoInsights analyses on the war in Iran.
The "Growth and Inflation" baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.1% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.1% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth reached 5.0% in 2025, like in 2024, and is projected to decelerate very moderately in 2026. Domestic demand weakened in the last quarter of 2025, with a contraction in investment and a slowdown in retail sales growth, but then it rebounded in the first two months of 2026. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, and the strengthening of private consumption is one of their priorities. However, the central bank and the government will continue to implement moderate policy measures to stimulate activity, even in a less supportive global environment. Export growth performance remains strong, and Chinese goods are expected to remain competitive in the short term. Deflationary pressures persist. They might decline in 2026, partly thanks to higher global oil prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026, with risks remaining skewed to the upside: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 1% after 1.3% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.2% before declining only gradually to 2.5% in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.2%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

Paris, 27 March 2026

EcoFlash

French public finances: a positive outcome for 2025 to be confirmed in 2026

According to INSEE, the French public deficit in 2025 improved by 0.7pp at 5.1% of GDP (the government targeted 5.4%). This improvement is due to the rebound in the rate of compulsory levies (CL). The public debt ratio is also below projections (115.6% versus 116.2%), although its increase in 2025 was as expected (+3pp). This evolution, along with the repercussions of the shock in Iran, particularly regarding interest rates, suggest to stick with fiscal consolidation efforts in 2026. The deficit is expected to benefit from a better starting point, the anticipated increase in the CL included in the 2026 budget, and the likely favourable impact on revenue from higher nominal growth in 2026. However, the government's leeway to support households and businesses in front of the inflationary shock is more constrained than in 2021–23. This support is therefore likely to be more limited this time around.

A relatively positive surprise in 2025. The public deficit was lower than expected in 2025, standing at 5.1% of GDP (compared with 5.4% according to the government's projections for 2025 and following 5.8% of GDP in 2024). The reduction in the deficit is due to the **rise in the CL – reaching 43.6% in 2025 compared with 42.8% in 2024 –** linked to the tax increases included in the 2025 Finance Law. At the same time, public expenditure has risen to 57.2% of GDP, compared with 57% in 2024. The rise in some expenditure (interest payments, defence, policing, justice) has, in fact, offset the reductions, particularly in central government expenditure. **As for public debt, the surprise is also positive, with the figure standing at 115.6% of GDP** in 2025 (compared with 115.9% according to the government's forecasts; 116.2% according to ours). However, this improvement stems mainly from an upward revision of nominal GDP in 2024 and 2025, resulting in a decrease in the debt ratio for 2024 to 112.6%, compared with the 113.2% previously estimated. However, the increase in the public debt ratio between 2024 and 2025 is +3pp (as we had anticipated; +2.7pp in the government's forecast).

Before the war in Iran, 2026 had got off to a promising start. The draft budget, which was approved in February, once again prioritize the increase of the CL to reduce the public deficit. We anticipate a further rise in the CL-to-GDP ratio, which is expected to converge towards its pre-Covid average (44.4%). Expenditure is also expected to rise due to the increases in defence spending, higher interest charges and contributions to the EU budget**. The war in the Middle East is expected to have an impact on public finance.** Based on the assumption that oil prices stabilise around $100 per barrel during the 2nd quarter, followed by a relative decrease thereafter (with prices remaining approximately $10 above pre-conflict levels by year-end), inflation is projected to increase by 1 pp in 2026, while real GDP growth is expected to fall by 0.3 pp. However, according to our calculations, public finances are more sensitive to changes in nominal growth, which is expected to be higher, than to real growth. Over the past fifteen years, an additional 1 pp of nominal growth has led to a nearly EUR 10 billion improvement in the deficit (0.3% of GDP). **Excluding support measures, the public deficit could therefore be reduced by nearly 0.2 percentage points of GDP. This would make it easier to meet the target of 5% of GDP, although this assessment is subject to significant uncertainties.**

Beware of complacency. A notable rise in inflation is expected. We estimate that fuel prices rose by nearly 17% in March, contributing an additional 0.6 percentage points to headline inflation. **The government has therefore announced its intention to implement support measures in response to the energy shock, which are expected to be more modest in scale than in 2022**, primarily due to limited flexibility in achieving the 5% public deficit target. For the time being, the energy shock is less widespread than it was from 2021 to 2023. Electricity prices are expected to remain stable, as gas is not required for its generation, unlike in 2022. The rise in gas prices is occurring at the end of winter, contrasting with the rise that took place just before winter in 2021. Furthermore, before the outbreak of the war in Iran, the French economy was not experiencing any inflationary pressures, with harmonised inflation recorded at 1.1% y/y in February, roughly its pre-Covid level. **The conflict in Iran has also resulted in a rise in interest rates to a level slightly higher than we had anticipated**: 3.87% for the 10-year OAT on 27 March, compared with 3.65% at the end of March according to our pre-conflict forecasts (so, about 20 basis points higher). Although a rise in interest rates has little immediate impact on the deficit and debt-to-GDP ratios due to the debt's long average maturity (8½ years), a sustained rise could require additional fiscal measures to bring the public deficit back down to 3% of GDP by the end of the decade. While the interest burden is projected to reach 2.5% of GDP in 2026 and 3.7% in 2030, according to our forecasts, a sustained increase of 100 basis points in all interest rates (significantly above current levels) would result in an additional 0.1pp of GDP in interest payments after one year (and 0.5pp after five years). It is therefore crucial for France to meet its budget deficit target and, as far as possible, refrain from using its potential leeway (lower public deficit in 2025, additional revenue in the event of a rebound in nominal growth in 2026). Demonstrating that the consolidation effort is continuing year after year would help to limit the widening of the *spread* with Germany.

Stéphane Colliac
Head of the Advanced Economies team, France economist
stephane.colliac@bnpparibas.com

EUROPEAN MANUFACTURING SECTOR IS HEADING INTO THE 2026 ENERGY CRISIS WITH A LOWER RATIO OF NON-PERFORMING LOANS THAN IN 2022

Thomas Humblot

During her hearing on 18 March 2026 before the Committee on Economic and Monetary Affairs of the European Parliament, Claudia Buch (Chair of the Supervisory Board of the European Central Bank) highlighted the absence of decline in the quality of bank assets and the stability of non-performing loan ratios. These ratios are a good indirect indicator of the financial health of borrowing corporations in the European Union (EU), particularly in the manufacturing sector. When viewed from this perspective, the proportion of firms in this sector facing severe financial difficulties appears to be lower at the start of 2026 than at the start of 2022. This suggests, by extension, that these firms are in better financial health and have a greater ability to absorb shocks. Nevertheless, comparing the current energy shock with the previous one poses difficulties. Apart from the uncertainty surrounding the duration and scale of the 2026 shock, the effects of the 2022 shock were largely mitigated by public and private support measures. This time, such measures are likely to be more limited, given budgetary constraints.

The manufacturing sector's non-performing loan ratio has generally declined across the EU since 2019

	Q2 2019	Q4 2019	Q2 2020	Q4 2020	Q2 2021	Q4 2021	Q2 2022	Q4 2022	Q2 2023	Q4 2023	Q2 2024	Q4 2024	Q2 2025	Q4 2025
Germany	2,8%	3,4%	3,3%	4,1%	3,8%	3,2%	3,5%	3,9%	4,2%	4,5%	4,5%	5,0%	4,5%	4,3%
Austria	3,8%	3,5%	3,3%	3,8%	3,9%	3,7%	3,7%	3,7%	3,2%	3,4%	3,1%	4,5%	3,4%	3,6%
Belgium	3,0%	4,3%	4,0%	4,9%	4,3%	3,8%	3,6%	3,6%	3,8%	3,7%	3,6%	3,4%	3,7%	3,9%
Bulgaria	8,0%	6,5%	7,2%	6,5%	6,1%	4,4%	3,1%	2,7%	2,1%	2,9%	2,8%	3,0%	3,1%	3,5%
Cyprus	31,7%	28,0%	19,9%	14,0%	13,1%	3,8%	2,8%	3,2%	2,8%	2,1%	2,3%	1,9%	1,4%	0,7%
Croatia	17,6%	16,0%	16,0%	15,6%	14,0%	8,6%	7,2%	6,6%	5,5%	5,5%	5,1%	5,9%	5,6%	5,1%
Danmark	3,1%	3,7%	2,8%	4,0%	3,4%	1,9%	1,5%	1,3%	1,2%	1,8%	1,8%	1,9%	1,9%	2,2%
Spain	5,1%	4,8%	4,4%	4,5%	4,6%	4,0%	3,4%	3,2%	3,1%	3,2%	3,0%	3,1%	3,0%	2,9%
Estonia	3,1%	3,1%	3,7%	2,1%	1,7%	1,4%	1,6%	1,8%	2,2%	3,1%	4,3%	3,1%	5,1%	6,4%
Finland	4,9%	4,6%	5,6%	3,3%	3,2%	3,0%	2,8%	1,9%	2,3%	2,6%	2,0%	1,7%	2,2%	1,8%
France	4,5%	4,2%	4,5%	5,0%	4,9%	4,1%	4,2%	3,9%	3,9%	3,9%	4,2%	4,3%	3,9%	4,0%
Greece	43,8%	39,2%	33,9%	31,6%	21,0%	12,6%	8,1%	6,7%	6,4%	5,3%	5,5%	4,4%	3,8%	3,3%
Hungary	6,7%	6,1%	5,4%	5,2%	4,6%	4,2%	4,8%	4,2%	3,8%	6,9%	6,5%	6,8%	5,7%	7,9%
Ireland	2,4%	1,6%	1,7%	1,5%	1,4%	1,6%	2,0%	2,8%	2,9%	2,3%	1,8%	2,0%	1,9%	2,7%
Italy	10,3%	9,1%	7,8%	6,1%	5,6%	4,2%	3,1%	3,1%	3,1%	3,4%	3,7%	4,0%	4,1%	4,1%
Latvia	10,6%	10,7%	9,5%	8,9%	9,4%	1,4%	1,5%	1,3%	2,2%	2,0%	2,2%	1,5%	1,4%	3,7%
Lithuania	5,7%	4,7%	5,1%	5,3%	3,2%	2,1%	1,8%	0,6%	0,6%	3,4%	3,3%	2,8%	0,5%	1,7%
Luxembourg	2,4%	2,4%	3,5%	3,5%	2,5%	2,2%	5,9%	7,3%	8,6%	3,5%	3,4%	4,0%	4,1%	5,6%
Malta	4,9%	6,4%	6,9%	13,8%	13,9%	15,6%	9,8%	8,0%	8,4%	6,7%	12,3%	6,9%	7,5%	7,7%
Netherlands	3,5%	4,5%	4,8%	5,1%	4,5%	3,8%	3,5%	3,2%	3,5%	3,1%	3,1%	4,0%	3,8%	3,6%
Poland	7,1%	8,3%	8,0%	8,8%	8,8%	7,3%	6,5%	5,5%	5,2%	5,4%	5,1%	10,5%	11,0%	10,7%
Portugal	10,5%	9,0%	8,5%	7,8%	6,0%	6,9%	7,4%	6,9%	7,1%	5,2%	5,1%	4,9%	5,6%	5,6%
Romania	8,5%	8,7%	11,9%	11,1%	10,8%	9,2%	7,7%	5,2%	4,4%	4,6%	4,2%	4,0%	5,1%	6,0%
Slovakia	1,9%	2,2%	2,5%	1,9%	2,5%	2,2%	2,2%	1,6%	1,4%	2,1%	2,3%	2,8%	2,7%	3,6%
Slovenia	4,9%	3,6%	2,9%	3,5%	2,8%	2,3%	1,9%	1,5%	2,0%	3,2%	3,7%	3,3%	3,6%	9,8%
Sweden	2,8%	3,2%	3,2%	2,3%	1,6%	1,3%	1,5%	0,9%	1,0%	1,0%	1,0%	1,6%	1,0%	1,3%
Czechia	4,6%	5,0%	5,2%	5,7%	5,3%	5,2%	5,6%	5,4%	4,3%	4,2%	3,9%	3,6%	3,6%	3,5%
European union	5,7%	5,5%	5,6%	5,5%	5,0%	4,0%	3,6%	3,5%	3,5%	3,6%	3,7%	4,0%	3,8%	3,8%

Reading note: For each country individually, the highest non-performing loan ratio in the manufacturing sector during the observation period is shown in the darkest shade of red. The lowest ratio is shown in the darkest shade of green

SOURCE: EBA, BNP PARIBAS

Lower non-performing loan (NPL) ratios indicate a smaller proportion of firms in a severely deteriorated situation

These ratios have the advantage of being available for each sector of activity. Furthermore, they enable the difficulties faced by certain firms to be standardised to a certain extent, by assessing their economic significance within the total number of firms (whether in difficulty or not). In most individual European Union countries[1], the NPL ratio for the manufacturing sector now stands at a historically low level (*see heatmap:* cells shaded in the darkest green). Furthermore, the highest ratios (shaded in the darkest red) at the start of the observation period typically recorded the sharpest declines. In the majority of cases, NPL ratios were reduced by more than half between Q2 2019 and Q4 2025. In cases where they increased during this latter period, the increases generally remained modest. Overall, the decline in the manufacturing sector's NPL ratio in most European countries

1 Comparing the level or extent of variation in the NPL ratio across countries is of limited interest, given the wide range of national specificities (proportion of floating-rate loans, laws governing companies in difficulty, etc.).

tends to indicate improved financial health. The manufacturing sector's initial ability to withstand the energy shock linked to the 2026 war in Iran is therefore, in theory, greater than it was at the onset of the 2022 war in Ukraine.

An energy shock and the corresponding mitigation measures remain uncertain in terms of their scale and duration

However, the manufacturing sector's greater ability to absorb shocks, as indicated by NPL ratios, does not in itself enable us to predict the impact of the 2026 shock, particularly when compared with the 2022 shock. In response to the latter, many EU firms did indeed benefit from public and private support measures, which were in addition to those already put in place during the COVID-19 pandemic (moratoria on loan repayments, deferrals of social security contributions, state guaranteed loan schemes, etc.). This helps to explain why the manufacturing sector in EU countries has, generally speaking, absorbed the 2022 shock well, as evidenced by the stability or minimal increases in NPL ratios. The scale and duration of any potential public and private mitigation measures in response to the current energy shock are shrouded in as much uncertainty as the shock itself. However, orders pertaining to defence, public infrastructure and AI are expected to provide new sources of resilience[2] which, combined with the European manufacturing sector's initially robust financial health, could help limit the impact of the 2026 energy shock on business bankruptcies and unemployment.

thomas.humblot@bnpparibas.com

2 The nowcasts, updated scenario and forecasts of the Economic Research - 23 March 2026.

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE
Easy-to-read monthly overview of inflation dynamics

ECOCHARTS
Monthly barometer of key economic indicators of the main OECD countries.

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

La banque
d'un monde
qui change

EDITORIAL

16/21: A NEAR-UNIVERSAL CENTRAL BANKS STATUS QUO TODAY; WHAT ABOUT TOMORROW?

The week of 16–20 March was particularly busy on the monetary policy front. No fewer than 21 central banks met against the backdrop of a common exogenous factor: the conflict in the Middle East that broke out in late February 2026. Prior to the onset of the conflict, 12 to 15 of these banks were either in an easing cycle or preparing to implement rate cuts. Ultimately, regarding policy rates, sixteen banks maintained the *status quo*, two opted for an increase and three for a cut. We present an overview of the context and the terms of the debate around several questions: 1/ What impact has the war in the Middle East had on these monetary policy decisions (how has the outcome shifted from what was expected before the offensive began to the current situation)?; 2/ How concerned are central banks about current developments and the risk of stagflation (are they prepared to change course, and in what direction)?

It is not surprising that a cautious and wait-and-see approach largely prevailed, with the vast majority of central banks adhering to the decisions that had been anticipated. As for the level of concern among central banks, while most confirmed the expected *status quo*, this was accompanied by a notable and logical shift in tone, marked at the very least by increased vigilance regarding the re-emergence of inflationary risk and, for around half of our sample, by a 'hawkish' bias, i.e. the readiness / willingness to hike if needed to mitigate this risk (see table on page 5).

Let's start with a reminder. At the time of writing, the shockwaves from the war in the Middle East are still intensifying, and many uncertainties persist regarding the course, duration and scale of the conflict. One clear outcome of the conflict is the sudden return of the risk of a stagflationary scenario, characterised by lower growth and higher inflation, which stands in stark contrast to our previous baseline scenario. The extent of this stagflationary shock remains uncertain, but the likelihood of a significantly adverse scenario is growing[1]. Additionally, this vulnerability is compounded by the multitude of shocks that have similarly impacted the global economy since the COVID-19 pandemic. Nevertheless, it is occurring within a broadly supportive and healthy macroeconomic environment.

A CAUTIOUS AND OBSERVANT APPROACH AS AN INITIAL MEASURE

In this uncertain context, an immediate reaction from central banks was neither expected nor warranted, whether in the form of a rate cut to mitigate the downside risk to growth, or a rate hike to counter the upside risk to inflation. Caution and a wait-and-see approach were the order of the day and largely prevailed. The vast majority of central banks have not deviated from their planned (or expected) decisions, with only a few making minor adjustments to their previously anticipated course.

This situation is exemplified by the Central Bank of Brazil (BCB), which opted for a 25-basis-point rate cut instead of the 50-basis-point cut initially planned. While the initiation of monetary easing was not called into question, its extent was indeed reduced[2]. A similar scenario may apply to the 25-basis-point rate hike by the CBI (Central Bank of Iceland). Would this hike have taken place without the war in the Middle East? It is conceivable that it would not. Before the outbreak of the conflict, the trade-off between signs of weak growth and rising inflation argued for maintaining the *status quo*. The conflict and the subsequent rise in price pressures likely tipped the balance in favour of tightening.

The most striking outcome is probably that of the Bank of England (BoE). A rate cut was neither guaranteed nor widely expected, but just a few days before the meeting, we were forecasting a 25bp cut to align with growing signs of disinflation. However, in light of recent events, we revised this forecast in favour of a hold. And the decided *status quo* was 'resounding', with all nine members voting unanimously for the first time since September 2021, thereby reinforcing the hawkishness signal.

Meanwhile, the Reserve Bank of Australia's (RBA) 25bp rate hike is part of a trend that began in February, in response to signs of a resurgence in inflation prior to the current energy shock, which is specific to Australia. The February hike attracted attention as it was the first among the major central banks of developed countries[3], raising questions about its potential knock-on effects.

The Bank of Canada (BoC), the US Federal Reserve (Fed), the Bank of Japan (BoJ), the Swedish Riksbank, the Swiss National Bank (SNB), the Bank of England, the European Central Bank and numerous central banks in emerging economies opted for the *status quo*, as expected. For the Fed in particular, this appears to be a forced pause.

However, the nature of this *status quo* has changed in the current context. It is now accompanied by a notable and logical shift in tone, marked at the very least by increased vigilance regarding the re-emergence of inflationary risk and, for roughly half of our sample, by a hawkish bias, i.e. the readiness / willingness to hike if needed to mitigate this risk. The ECB is among them.

UNIFORMITY OF REACTIONS AT PRESENT; DIVERGING REACTIONS TO FOLLOW?

What happens next remains to be seen, but the trajectories of monetary policy could become more varied. Firstly, although the shock is global and spares no one, its impact is likely to vary considerably due to different levels of exposure among countries[4]. Secondly, the starting points differ from one country to another. The task facing central banks in countries where inflation is low (such as Switzerland and Sweden) is therefore less complicated than in countries where inflation was already high and sticky, while also facing upside risks (the United States, to name but one). The starting point in terms of growth naturally matters too, and in this regard, the US is in a more favourable position than the Eurozone.

1 For further details, see our EcoInsight 'War in the Middle East: Shockwaves are spreading', 20 March 2026.

2 The opposite occurred with the Bank of Ghana (BoG), whose 150-basis-point cut in the policy rate went beyond the expected 100 basis points, reflecting heightened concerns about growth despite upside risks to inflation.

3 Leaving aside the Bank of Japan, which has been on a desynchronised cycle of rate hikes since March 2024.

4 For further information on emerging markets' exposure, see François Faure's Ecoweek editorial, 'Emerging and developing countries: how will they weather the energy shock?', 16 March 2026.

Policy rates of the nine advanced markets' central banks who held a meeting between the 16th and the 20th March 2026

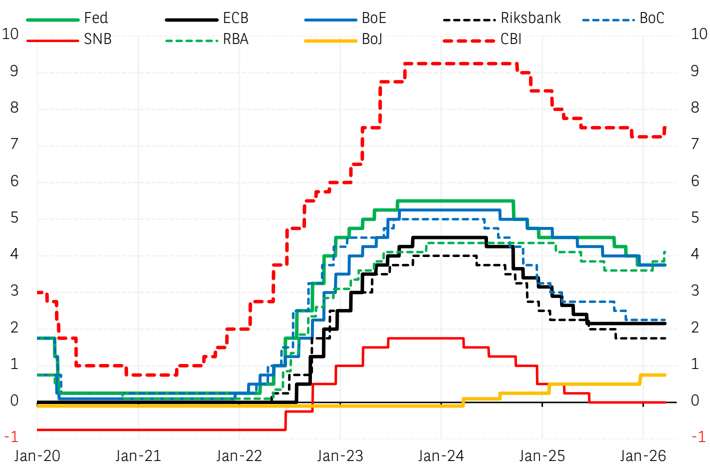


CHART 1

SOURCE: MACROBOND, BNP PARIBAS

Policy rates of the twelve emerging markets' central banks that held a meeting between the 16th and 20th March 2026

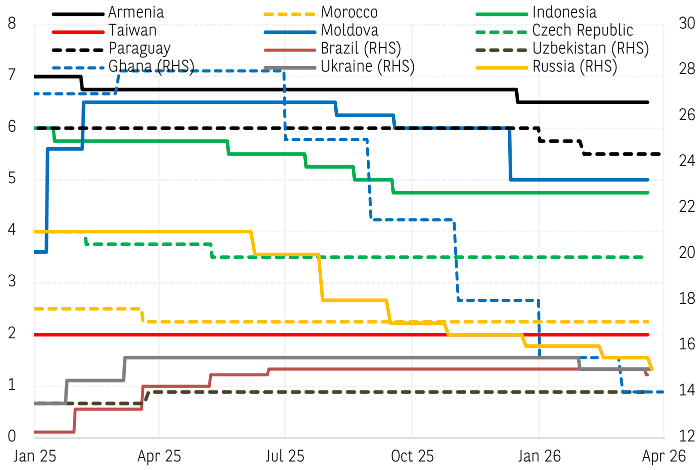


CHART 2

SOURCE: MACROBOND, BNP PARIBAS

The central bank's actions will also depend on the measures taken by governments. On the one hand, fiscal support (which is very limited at present) may help to mitigate the disinflationary effect of the negative demand shock, thereby further complicating the task facing monetary authorities. On the other hand, this same support, if aimed solely at limiting the rise in energy prices rather than directly bolstering demand, would help to reduce observed inflation. This, in turn, would mitigate the risk of inflation expectations becoming unanchored and prevent other second-round effects.

In any case, central banks face the same dilemma to varying degrees: as the conflict constitutes a classic negative supply shock, which simultaneously pushes inflation up and growth down, should they respond by raising interest rates to contain inflation, at the cost of further weakening growth, or should they lower interest rates to stimulate growth, thereby fuelling inflation? The central banks' response will depend not only on their own reaction functions but also on which risk manifests first and with what intensity.

Economic theory posits that the best response to an energy shock affecting an economy in equilibrium is to do nothing. Faced with an exogenous negative supply shock of this kind, central banks can, in fact, only manage the consequences, as they lack the ability to influence the causes. Assuming these consequences remain limited, central banks may simply look through them. However, while doing nothing may seem sensible in theory, it is not necessarily the most suitable response in practice, as highlighted by Jerome Powell. In the current situation, it is difficult to determine the precise scale of the consequences, yet there is little doubt that the risk of inflation has returned. The adjustments in central bank forecasts currently available to us bear this out: inflation forecasts have been revised upwards more than growth forecasts have been revised downwards.

As the future trajectory of inflation is currently a greater cause for concern than that of growth, we should expect interest rate hikes[5]. This is now our scenario for the ECB (three hikes of 25 basis points in June, July and September). For the BoJ, we maintain our expectation of a further 25 bp hike in April. For the BoE, a rate hike as early as April cannot be ruled out, but it is contingent on the severity and duration of the ongoing energy shock. Therefore, our BoE call remains under review. Should the stagflationary shock prove limited, the *status quo* – of a very different nature from what was envisaged hitherto – could be extended to navigate between the two risks. This is the scenario we are currently adopting for the Fed.

Hélène Baudchon

5 If the energy shock persists and causes growth to falter significantly, scenarios involving rate cuts could emerge.

21 CENTRAL BANK DECISIONS UNDER THE MICROSCOPE										
Country / Central bank	**Meeting date**	**Change in key interest rate (bp)**	**Key interest rate level**	**Bias**	**Change in market expectations (number of cuts/hikes by end-2026)**	**Latest growth figure (y/y)**	**Change in central banks' 2026 growth forecasts**	**Latest inflation figure (y/y)**	**Change in central banks' 2026 inflation forecast**	**Exposure to stagflationary shock**
Australia / RBA	17/03	+25	4.10%	Hawkish	3 rate hikes as of 23/03 (compared with 1 as of 27/02)	2.6% (Q4 25); 2.0% (2025)	n.a	3.8%	n.a	Moderate
Indonesia / BI	17/03	=	4.75%	Somewhat hawkish		5.2% (2025)	n.a	4.8%	n.a	Low
Armenia / CBA	17/03	=	6.5%	Balanced		6.9% (2025)	n.a	4.3%	n.a	Moderate
Morocco / BAM	17/03	=	2.25%	Balanced		4.0% (Q3 2025)	+0.9pp	-0.6%	-0.5pp	Low
Uzbekistan / CBU	18/03	=	14%	Somewhat hawkish		7.7% (2025)	n.a	7.3%	n.a	Moderate
Iceland / CBI	18/03	+25	7.50%	Hawkish		-0.6% (Q4 25)	n.a	5.2%	n.a	High
Ghana / BoG	18/03	-150	14%	Balanced		+5.8% (Q4 25)	n.a	3.3%	n.a	Average
Canada / BoC	18/03	=	2.25%	Balanced	3 rate hikes as of 23/03 (compared with a 44% probability of 1 cut on 27/02)	0.7% (Q4 25); 2.0% (2025)	n.a	1.8%	n.a	Moderate
United States / Fed	17–18 March	=	3.50–3.75%	Somewhat hawkish	75% probability of 1 rate hike (compared with 2 cuts on 27/02)	2.0% (Q4 25); 2.1% (2025)	+0.1pp	2.4% (CPI – Feb.); 2.8% (PCE – Jan.)	+0.3pp (PCE)	Average
Brazil / BCB	18/03	-25	14.75%	Between neutral and dovish		2.3% (2025)	No change (forecast: 1.8%)	3.8%	+0.4pp (if Petrobras passes on the rise in oil prices)	Moderate
Japan / BoJ	18–19 March	=	0.75%	Hawkish	2 hikes as of 23 March (compared with 1 as on 27/02f 27 February)	0.5% (Q4 25); 1.2% (2025)	n.a	1.5%	n.a	High
Sweden / Riksbank	19/03	=	1.75%	Balanced	2 rate hikes by 23/03 (compared with a 50% probability of 1 rate cut on 27/02)	2.0% (Q4 25); 1.8% (2025)	-0.4pp	0.5% (1.7% for the target measure)	+0.2pp (+0.6pp for the target measure)	High
Switzerland / SNB	19/03	=	0%	Balanced		0.7% (Q4 2025); 1.3% (2025)	No change	0.5%	+0.2pp	Moderate
Taiwan / CBC	19/03	=	2%	Balanced		8.7% (2025)	+3.6 pp (carry-over effect)	1.2%	+0.2pp	Moderate
Ukraine / NBU	19/03	=	15%	Balanced		3.2% (Q4 2025); 1.8% (2025)	n.a	7.6%	n.a	High
Moldova / NBM	19/03	=	5%	Balanced		3.6% (Q4 2025); 2.4% (2025)	n.a	5.1%	n.a	High
United Kingdom / BoE	19/03	=	3.75%	Hawkish	3 rate hikes as of 23/03 (compared with 2 rate cuts as of 27/02)	1.0% (Q4 2025); 1.3% (2025)	n.a	3.0%	+0.9 pp in Q2 and +1.5 pp in Q3	High
Eurozone / ECB	19/03	=	2%	Hawkish	3 rate hikes by 23/03 (compared with a 55% probability of 1 rate cut on 27/02)	1.2% (Q4 25); 1.5% (2025)	-0.3 pp (new baseline); -0.6 percentage points (adverse); -0.8 percentage points (severe)	1.9%	+0.7pp (new baseline); +1.6pp (adverse); +2.5pp (severe)	High
Czech Republic / ČNB	19/03	=	3.50%	Somewhat hawkish		2.6% (Q4 2025); 2.6% (2025)	n.a	1.4%	n.a	Moderate
Russia / CBR	20/03	-50	15%	Close to balance		0.6% (Q3 2025)	n.a	5.9%	n.a	Moderate
Paraguay / BCP	20/03	=	5.50%			6.6% (Q3 2025)	n.a	2.3%	n.a	High

Find out more in our scenario and forecasts

WAR IN THE GULF

Strikes on oil and gas facilities from both sides have intensified, driving up commodity prices. This escalation is expected to fuel inflation and dampen growth. Central banks have maintained their monetary policies as they await greater clarity, but the markets are bracing for tighter policies, as are we (see our analysis).

ADVANCED ECONOMIES

UNITED STATES

The prospect of rate cuts is receding, the economy is performing well and the administration is responding to the energy shock. The Fed's policy rate was kept at 3.5%–3.75%. The Summary of Economic Projections revises the long-term estimate for this rate to 3.1% (+0.1pp) and forecasts core PCE to be +2.7% y/y by end-2026 (+0.2pp), while still upholding the dot plot, indicating a potential rate cut this year. However, this cut is unlikely to materialise, as the FOMC's requirement for a reduction in inflation is becoming increasingly unattainable, with J. Powell hesitating to assert that energy and tariff inflation will only have a temporary impact that monetary policy can overlook. The probability of a rate hike in 2026 now exceeds 50%. In February, industrial production improved (+0.2% m/m, -0.5pp), while producer prices rose sharply (+0.7% m/m), driven by food, energy and core inflation. In order to curb petrol inflation, the Trump administration has announced a 60-day suspension of the Jones Act (which requires that ships sailing between US ports be US-flagged and US-built) for vessels transporting hydrocarbons and other raw materials. Added to this is a partial easing of sanctions targeting oil from Venezuela and Iran. **Banking deregulation is intensifying** with proposals targeting capital requirements: 1. an end to Basel III agreements for the nine largest banking groups; 2. reform of the method for calculating capital surcharges imposed on the eight global systemically important banks (G-SIBs); 3. a review of the standardised approach to measuring credit risk for other banks. These measures, along with the proposed reform of stress tests, could reduce CET1 capital requirements by an average of 4.8% for the eight G-SIBs, by 5.2% for mid-sized groups (those with assets of between USD 100bn and USD 750bn) and by 7.8% for small institutions. These proposals are open for comments for 90 days. *Upcoming: Q4 current account (Tuesday); consumer confidence (Michigan, Friday).*

EUROPEAN UNION

Progress on all fronts. The European Council meeting on 19 March approved the 'One Europe, One Single Market' roadmap, which sets out a tight schedule: 2026 for most deliverables and by the end of 2027 for the rest. Among the most significant measures, the Commission introduced the 28th regime on 28 March, which facilitates the establishment of a business online within 48 hours, with no minimum capital requirement and under a unified legal framework. To speed up its adoption, opting for a regulation will avoid the need for 27 national transpositions. On the energy front, the Commission will propose temporary, targeted and coordinated measures, including state aid for industries that are significantly affected, long-term supply contracts to stabilise prices, and gas price caps. **Towards the ratification of a trade agreement with the United States and another with Australia.** The ratification process for the agreement with the United States has been relaunched with several safeguard clauses: 1. expiry at the end of March 2028 of the tariff relief enjoyed by the United States; 2. suspension in the event of a US breach; 3. entry into force conditional upon verification of all commitments. Ratification is expected in April or May, following negotiations with Member States. A free trade agreement with Australia is nearing completion.

Eurozone

With inflation projected to exceed its target, the ECB is expected to raise interest rates. The ECB maintained its key interest rates in March but revised its growth forecasts (-0.3 pp to 0.9% in 2026; -0.1 pp to 1.3% in 2027) and inflation forecasts (+0.7 pp to 2.6% in 2026; +0.2 pp to 2% in 2027). A return to the 2% target is expected in 2027 (the baseline scenario includes two rate hikes according to market expectations), or potentially in 2029 under an adverse scenario. Some governors (Nagel, Makhlouf) do not rule out a key rate hike as early as April. The ECB's wage tracker anticipates negotiated wage growth of 2.3% in 2026 (a decline compared with 2025). Long-term rates have continued to rise: the German 10-year bond yield has crossed the 3% threshold for the first time since 2011 (+40 bp since the end of February). The spread stands at 73 bp with the French 10-year and 96 bp with the Italian 10-year (+17 and +33 bp compared to the end of February respectively). *Upcoming: consumer confidence (Monday), PMI (Tuesday), private credit and monetary aggregates (Thursday).*

France: Inflation is expected to rebound rapidly according to our forecasts. Fuel prices have risen by nearly 17% since early March (the same increase as in March 2022). The impact on year-on-year inflation is expected to be 0.6pp (1.7% in March compared with 1.1% in February). According to the Energy Regulatory Commission, the tariff for gas consumers is set to rise by 15% in May (a +0.2pp impact on inflation, which would exceed 2% for the first time since August 2024). The rise in gas prices is not expected to affect electricity prices (as gas is not used to generate electricity). The social security deficit reached EUR 21.6 billion in 2025, which is lower than the EUR 23 billion estimated by the government in its budget and EUR 15.3 billion recorded in 2024. *Upcoming: PMI (Tuesday), INSEE business climate and household confidence (Thursday), deficit and public debt in 2025 (Friday).*

Germany: The initial effects of the energy shock are being felt. The ZEW index fell by 58.8 points m/m in March to -0.5, although this decline was less severe than in March 2022 (-93.6 m/m to -39.3). Producer prices fell in February (-3.3% y/y; -0.3pp m/m). *Upcoming: PMI (Tuesday), IFO business climate (Wednesday), GfK consumer confidence (Thursday).*

JAPAN

Rate hikes still on the table. The BoJ maintained its key interest rate at 0.75% but signalled a hawkish bias. This position is reinforced by the inflationary consequences of the war in Iran, with the BoJ assessing the downside risks to growth as moderate. *Upcoming: inflation and PMI (Tuesday), BoJ minutes (Wednesday).*

UNITED KINGDOM

Rate cuts are becoming less likely. The BoE maintained its key rate at 3.75% but has not ruled out a further tightening of monetary policy. The yield on the 1-year government bond has risen by 60 basis points over three sessions, and by 110 basis points since early March. The 10-year yield has broken through the 5% mark for the first time since August 2008 (+80 bp since early March). The government has pledged support (GBP 53 million) for 1.5 million households to help with rising heating oil prices. Wage growth reached 3.9% y/y in January, including bonuses (3-month average), compared with 4.2% in December. *Upcoming: PMI (Tuesday), inflation (Wednesday), retail sales (Friday).*

Find out more in our scenario and forecasts

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Gulf countries are beginning to take action to support their economies. Bahrain's Parliament has recently approved four measures, including exemptions from electricity, water and municipal tax bills for affected businesses. In the United Arab Emirates, the Central Bank is implementing measures to facilitate banks' access to liquidity. It has also opted for a temporary easing of capital and credit risk management requirements.

ASIA

Increasing pressure on currencies: Asian currencies have held up well so far, but tensions are mounting. Since 27 February, the Thai baht, the South Korean won and the Philippine peso have recorded the sharpest falls against the USD, falling by 6.5%, 4.7% and 4.3% respectively. The Indian rupee has shown stronger resilience, with a depreciation of 3.1%. It is partly due to the Central Bank's intervention in the foreign exchange markets.

China: Beijing tightens restrictions on exports of refined petroleum products. Since the start of the month, the National Development and Reform Commission (NDRC) is reported to have instructed the main national oil refineries to suspend exports of certain products, including diesel and kerosene. The Philippines and Vietnam are said to be among the countries most affected, as China supplies 25% and 14% of their refined product imports respectively. Beijing has also reportedly ordered fertiliser exporters to restrict their sales to certain countries, notably India.

Indonesia: Monetary policy unchanged despite rising inflation. The central bank is in a more delicate position than other central banks in the region due to inflationary pressures that arose prior to the outbreak of the conflict in the Middle East (+4.8% year-on-year in February). However, the rupiah's resilience (-0.9% since 27 February 2026) enabled the central bank to maintain its key interest rates at 4.75% at the monetary policy committee meeting on 17 March. The country's external accounts are less vulnerable to the energy shock than those of Thailand and the Philippines.

Taiwan: Monetary status quo against a backdrop of low inflation and robust growth. The Central Bank kept its key interest rate at 2% at its meeting on 19 March. CPI inflation stood at 1.2% year-on-year for the first two months of 2026, and it is not expected to exceed 2% this year, according to the Central Bank's latest forecasts. The Bank is optimistic about the growth outlook, forecasting a growth rate of 7.3% for 2026 (following 8.7% in 2025), which continues to be bolstered by demand for AI-related goods. However, the economy is vulnerable to the energy shock caused by the war in the Middle East, due to its heavy reliance on hydrocarbon imports. A helium shortage could also affect the semiconductor sector.

EMERGING EUROPE

Central Europe: Currencies relatively stable over the past week. However, since the start of the conflict, the depreciation of the Hungarian forint has been significant (-4.4% against the euro and -6.4% against the dollar). In contrast, the depreciation of the Polish zloty (-1.3% against the euro and -3.3% against the dollar) and the Czech koruna (-1.1% against the euro and -3.1% against the dollar) has been less pronounced.

Czech Republic: Monetary status quo. The Central Bank voted unanimously to maintain the key interest rate at 3.5%. Its statement indicates that future decisions will be based on the latest available figures and their impact on inflation. The monetary authorities anticipate that inflation will remain below the 2% target this year. Projections, which factor in higher oil prices, have not yet been released.

LATIN AMERICA

Chile and Peru: Pressure on currencies has intensified. Since 27 February, the Chilean peso and the Peruvian peso have depreciated by 5% and 7.5% respectively against the USD. The reason: concerns over developments in the copper market. In Chile, economic activity slowed slightly in Q4 (1.6% y/y, down from 1.7% in Q3, resulting in GDP growth of 2.5% in 2025). The new administration plans to drastically cut public spending. In Peru, the interim president's declaration of a state of emergency has heightened concerns about the political climate, particularly as the presidential campaign enters its final stretch. The first round of the elections will take place on 12 April.

Brazil: The Central Bank of Brazil (BCB) is cautiously beginning its cycle of monetary easing. The BCB cut its key interest rate (SELIC) by 25 basis points to 14.75%, which is a more moderate cut than the anticipated 50 basis points before the war in Iran. Future decisions by the BCB will be contingent on developments in the energy markets, as they adopt a resolutely cautious stance. This decision follows the government's announcement of a support plan designed to mitigate the impact of rising fuel prices, which includes 1/ tax relief, 2/ targeted subsidies mainly for diesel producers and importers, and 3/ regulatory measures to combat speculation and excessive price rises under the supervision of the National Petroleum Agency.

COMMODITIES

War in Iran: Attacks on strategic gas facilities in Iran and Qatar indicate prolonged disruptions to production and supply on the gas market. The damage caused to infrastructure at Ras Laffan, the world's largest LNG export site located in Qatar, will require 3 to 5 years of repairs before it can return to pre-conflict production levels, according to QatarEnergy, with approximately 17% of Qatar's production capacity affected. The attack on Thursday 18 March on the world's largest gas field, South Pars, which is shared by Iran and Qatar, compelled Iran to suspend its LNG exports to Türkiye (around 8 billion cubic metres in 2024). According to the International Energy Agency (IEA), over 40 energy production facilities have been severely or very severely damaged by the ongoing conflict.

The European Commission has called for greater flexibility from member states to replenish their gas stocks. It has advised EU members to wait until 1 December to achieve their stock replenishment target of 80% (10 percentage points below the official target, which had already been revised to 80% by 2025) and to avoid hastily replenishing stocks while the market is under strain.

Saudi Arabia has exported around 4.2 million barrels per day (mb/d) of oil in the last five days via the Yanbu terminal located on the Red Sea. Prior to the outbreak of the conflict, Saudi exports stood at over 7 mb/d.

The European TTF rose by 23% in the past week. It currently stands at around €60/MWh. Brent rose by 13% to reach $114/bbl on Monday morning.

The IEA has clarified the composition of the 400 million barrels of oil drawn from the strategic reserves of its 32 member countries: crude oil accounts for the majority, while European countries are primarily contributing with petroleum products. In addition to releasing reserves, oil-producing countries in the Americas are set to increase their production.

Gold and silver prices are falling sharply (on Monday 23 March, down 15% and 20% respectively over the past week) amid fears of a return of inflationary pressures and the prospect of higher interest rates.

Paris, 20 March 2025

EcoInsight

War in the Middle East: Shockwaves are spreading

The conflict in the Gulf has escalated in recent days, with an increase in strikes targeting oil and gas facilities (on both sides). The impact on energy prices has therefore intensified. A relatively rapid de-escalation of the conflict is unlikely, whilst there is a growing prospect of the conflict worsening along with its macroeconomic effects (higher inflation, lower growth). Central banks have taken note of this this week, but are waiting for greater clarity on how events will unfold before deciding how to respond. The markets, too, are taking a more cautious stance and anticipate that central bank will adopt more restrictive policies than previously expected for over the rest of the year. So do we.

New scenarios

Since our EcoInsight of 6 March (**"War in the Middle East: initial assessment of macroeconomic damage"**), we have updated our scenarios. They reflect events to date and possible future developments of the conflict, in order to assess their consequences for growth and inflation compared with our pre-war macroeconomic scenario:

Scenario 1: De-escalation and swift resolution of the conflict.

Scenario 2: Rapid resumption of hydrocarbon flows against a backdrop of persistent instability.

Scenario 3: Partial resumption of hydrocarbon flows amid gradually easing tensions in the coming quarter. Oil prices would fall more slowly in 2026 than in the more favorable scenarios 1 and 2 and would remain at higher levels in 2027 (between USD 10 and USD 15 higher).

Scenario 4: Persistence of very severe constraints on traffic through the Strait of Hormuz, keeping hydrocarbon prices at very high levels until Q3 2026. This would be followed by a very gradual decline in prices until spring 2027, after which they would reach levels similar to those in scenario No. 3.

Since 17 March, attacks on strategic gas facilities in Iran and Qatar have signalled a new phase in the intensity and duration of disruptions in energy markets. The scenario of a resumption of traffic through the Strait of Hormuz is unlikely in the short term, even as international mobilization to enable the resumption of traffic is gaining momentum. The ongoing blockade of the Strait and the physical destruction of strategic oil and gas facilities are now disrupting not only flows but also production and supply available on markets. Against this backdrop, oil and gas prices are likely to stay elevated for several months.

In our scenario 3, Brent prices (averaging USD 68 per barrel in 2025) would rise to just over USD80 per barrel on average in 2026 and remain close to that level in 2027. Under the most unfavourable scenario (scenario 4), Brent prices would reach an average of USD100/b in 2026 before falling back to around USD80/b in 2027. Gas prices on the European market (TTF benchmark averaging EUR35.3/MWh in 2025) would average around EUR49/MWh in 2026 and 2027 under scenario 3. Scenario 4 would imply persistent strains on European gas supplies, particularly during the pre-winter stock-building period; prices would reach around 70 EUR/MWh on average in 2026 and 61 EUR/MWh in 2027.

The effects on inflation will extend beyond the mere acceleration already observed in fuel prices in March. Second-round effects (a rise in core inflation) are likely and would entail a cost in terms of growth and a probable tightening reaction from central banks. In some countries (particularly in Asia), the negative impact on economic activity will come mainly from disruptions to hydrocarbon supplies (in addition to elevated prices).

Energy prices and spillovers to other prices: where do we stand?

Oil market: supply constraints are tightening despite efforts to ease them

Under normal circumstances, the volume of crude oil passing through the Strait of Hormuz is 15 million barrels per day (20mb/d including refined products). The current blockade of the Strait has led to production stoppages as storage capacity has gradually become saturated. Since the start of the conflict, the reduction in crude oil production is estimated to amount 8 mb/d.

Alternative transit routes exist, but they only partially circumvent the problem. The Saudi "East-West" pipeline has a capacity of 7 mb/d, but that of the Yanbu terminal on the Red Sea is only 4.5 mb/d. Another alternative route has been opened: the Baku-Ceyhan pipeline, but its capacity is limited (around 0.25 mb/d). On 12 March, sanctions on Russian crude oil were lifted by the United States for one month, but this applies only to floating stocks, or *oil on water,* amounting to around 130 million barrels.

The release of strategic reserves is another source of supply for the oil market. The International Energy Agency (IEA) has announced the release of 400 million barrels of oil from the strategic reserves of its 32 member countries. The United States is supplying the majority of the oil released onto the market, with 172 million barrels of crude oil. Europe plans to make 107.5 million barrels available, the majority of which is refined oil (68% of the total). This is a historic amount (following Russia's invasion of Ukraine, the IEA had released 182.7 million barrels onto the market). In theory, this reduction in stocks would be sufficient to supply the market for 115 days at a rate of 3.5 million barrels per day. Nevertheless, many uncertainties remain (pace, geography, nature of the products released onto the market).

For the time being, these alternatives are not enough to prevent a rise in oil prices. The price of a barrel of Brent crude reached USD 116 on 19 March, representing a 60% increase since the start of the conflict and a 16% rise over the past week. However, markets continue to bet on a relatively swift resolution to the crisis. Indeed, the futures curve is quite steep, with the February 2027 contract standing at USD 83. Since the start of the conflict, we have also observed a growing spread between the price of a barrel of Brent and that of physical barrels in certain markets. For instance, the price spread between Oman crude and Brent reached USD 55/b on 19 March (the price of Oman crude stood at USD 167/b on 19 March). Tensions in the refined products market are starting to emerge as well, leading to significant price rises. Since the start of the conflict, on the US market, petrol and kerosene prices have risen by more than 50%, diesel by 65%, whilst heating oil has risen by 85%.

Gas market: less tension, but likely to persist

Since the start of the month, Qatar has been unable to honor its LNG exports (around 20% of global production), initially due to the closure of the Strait of Hormuz and, since 2 March, due to the closure of the Ras Laffan site – the world's largest LNG export facility – as a precaution following a drone attack. These disruptions are expected to continue: the damage caused to the Ras Laffan infrastructure following new attacks on 19 March will require 3 to 5 years of repairs before the site production can return to pre-conflict levels, according to QatarEnergy (approximately 17% of Qatar's production capacity has been affected). As Asia is the main destination for Qatari exports, the JKM price (Asian LNG market) has risen by 96% since the start of the conflict.

Given the link between the Asian and European markets (arbitrage is possible between the two regions), the price of European gas has also risen sharply. The TTF has risen by 108% since the end of February and by 30% over the past week. Nevertheless, the current TTF price (€66/MWh) remains well below the level reached during the 2022 crisis (the TTF averaged €134/MWh for the year, peaking at €240/MWh in August 2022). However, the start of the European gas stock-building period from the second quarter onwards will support the price rise.

Several factors will, however, help contain this rise in the near term: the end of winter in Europe reduces European countries' gas requirements; the Gulf accounts for less than 10% of European LNG imports. For the time being, supply risks for the European market are therefore limited. The sharp rise in gas prices is also prompting electricity producers to switch to coal where possible (particularly in Asia, and to a lesser extent in Europe). Since the start of the conflict, coal prices have risen by 25%.

Other critical markets: a risk of rapid spillover

Pressure on hydrocarbon prices is already spreading to fertilisers and could soon affect food prices. Natural gas is an essential input for the production of fertilisers (such as ammonia and urea). Moreover, around a third of the global supply of fertilisers passes through the Strait of Hormuz. Supply disruptions, on the one hand, and rising gas prices, on the other, are already feeding through to global fertiliser prices. They could quickly have knock-on effects across the entire agricultural production chain and on food prices. Among the major emerging economies, Thailand, India and the Philippines, as well as Hungary, are the most vulnerable to the combined rise in energy and food prices, which account for over 30% of the consumer basket (of which 8% to 13% is for energy). The knock-on effects of the energy shock on the agricultural sector (rising prices, risk of shortages) could also fuel socio-political risks. India is particularly vulnerable in this regard.

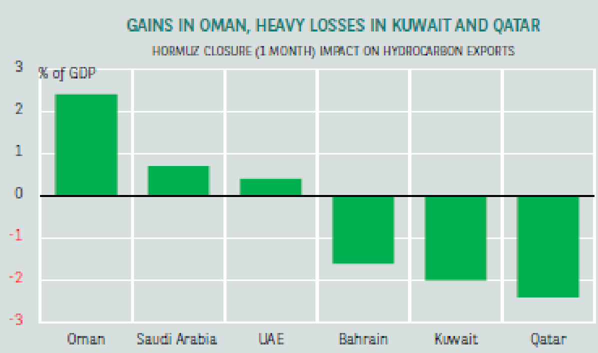
Aluminium and helium are also exposed to a potential supply disruption. The Middle East accounts for 9% of global aluminium production. Qatar supplies 30% of the world's helium. **Helium** is essential to the semiconductor industry and cannot be substituted: disruptions in the electronics sector's supply chains are therefore likely.

A shock for the Gulf states: initial estimates

Despite progress in economic diversification in recent years, the hydrocarbon sector still accounts for, on average, 28% of the region's GDP, 62% of government revenue, and over two-thirds of export earnings (up to 80% for Kuwait and Qatar).

Apart from Oman, only Saudi Arabia and the United Arab Emirates (UAE) have the capability to bypass the Strait of Hormuz for their exports, and then only for limited quantities (around 50% of export capacity for the UAE and 60–65% for Saudi Arabia). For them, the surge in global oil prices should therefore offset the decline in export volumes, although to varying degrees: a significant impact for Oman, and a limited one for Saudi Arabia and the UAE. By contrast, the decline in exports for Bahrain, Kuwait and Qatar will be significant. As all of these latter countries' hydrocarbon exports pass through the Strait of Hormuz, each month of closure results in annual export losses equivalent to 1.6%, 2% and 2.4% of GDP respectively.

Moreover, downside risks are high, as this scenario assumes no major further damage to oil or port infrastructure. Access to the Saudi port of Yanbu via the Red Sea is also vulnerable to attacks from Yemen.



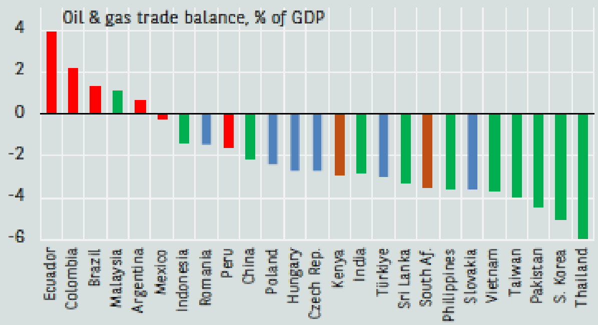
Risks of hydrocarbon shortages in emerging countries: Asia and Africa on the front line

Asia is particularly exposed to shortages caused by the interruption of tanker traffic in the Strait of Hormuz and damage to oil and gas facilities in the Gulf:

1/ With the exception of Malaysia, Asian countries are major net importers of oil and gas. Their net imports account for 4% to 6% of GDP for Thailand, South Korea, Taiwan and the poorest countries in South Asia (graph).

2/ These countries are particularly dependent on the Gulf region and the Strait of Hormuz: on average, it is estimated that Gulf countries supply around a third of Asia's oil and a quarter of its natural gas.

ASIAN COUNTRIES ARE LARGE NET IMPORTERS OF OIL AND GAS



SOURCE: ITC, BNP PARIBAS

As regards gas, India and Pakistan are the Asian countries most vulnerable to supply disruptions (in 2024, 77% of their gas imports came from the Middle East). However, unlike Pakistan, India can substitute coal for gas to generate electricity. For South-East Asian countries, gas supply sources are more diversified: Indonesia imports 68% of its gas from the United States, while the Philippines and Thailand import their gas from other Asian countries or Africa; Vietnam imports gas from the Middle East, Asia and the United States. Indonesia has a major advantage: it produces coal and has the necessary facilities to substitute gas with coal. Finally, South Korea and Taiwan are highly dependent on LNG imports (they do not produce gas and do not import any gas via pipeline), with the Gulf accounting for 20% and 27% of their gas imports respectively. Taiwan's strategic natural gas reserves exceed the legal minimum level, but this threshold represents only eleven days of consumption. South Korea's reserves would last for at least 43 days' consumption. **Should gas shortages occur, they could significantly slow down production in these countries.**

As for oil, Vietnam and Indonesia are among the countries most vulnerable to supply disruptions as their reserves cover less than 30 days of consumption needs. In India (which has reserves covering 45 days of consumption), the impact could be mitigated by purchases of Russian oil. Some countries considered allies by Iran might also manage to get tankers through the Strait of Hormuz (Pakistan, China). South-East Asian countries have already taken steps to reduce fuel consumption (working from home in Thailand, the Philippines and Vietnam).

China is heavily dependent on oil and gas imports from the Middle East but has buffers. Iran supplies 11% of its crude oil, 33% of its crude oil requirements are transported through the Strait of Hormuz, and Qatari LNG accounts for around 15% of its gas imports. However, China has increased its strategic reserves in recent years. Its crude oil reserves are estimated at 1.2 billion barrels, equivalent to 3.4 months of imports. Furthermore, China is reported to have suspended exports of refined oil products (around 8% of its domestic production). This measure could disadvantage some of its partner countries (in particular the Philippines and Vietnam, which import 25% and 14% respectively of their refined oil products from China). As for gas, its reserves are thought to cover at least six weeks of consumption, and the country could turn to other sources (imports via pipeline, domestic production). China may also increase its imports of Indonesian coal.

Southern and Eastern Africa is also particularly exposed to the risk of shortage, as the Middle East is their primary supplier of oil and gas. In South Africa, 36% of oil and gas imports come directly from countries affected by the closure of the Strait of Hormuz (54% when including Oman). In Kenya, this figure rises to 60% (70% when including Oman). The risk of shortages is heightened by the fact that sub-Saharan African countries have no strategic oil reserves. South Africa is the sole exception, holding 8 million barrels of crude oil, which is less than three weeks of domestic consumption. In Europe, Türkiye is the most affected by supply disruptions, with Iran supplying 15% of its LNG consumption.

In **Central Europe**, energy dependence on the Middle East for oil and gas is relatively low, with the exception of Poland. Poland primarily sources its crude oil from Saudi Arabia (50% of crude oil imports, with the remainder coming from Norway (around 30%) and the United States (7%), and around 10% of its gas imports come from Qatar. Hungary and Slovakia, meanwhile, rely mainly on Russia for their oil and gas imports. Although these two countries have given rise to some concerns, the risks associated with an oil supply shock appear to be diminishing. Ukraine has pledged to repair the section of the Druzhba pipeline that was severely damaged at the end of January, with financial support from the EU. The situation in the region therefore remains under control. Central European countries possess adequate strategic reserves, representing around 90 days' supply (in line with EU recommendations).

In **Latin America**, vulnerability is even lower: energy supplies from the Gulf account for only a small share of the total: 13% of total oil imports for Argentina and Brazil, 8% for Uruguay and virtually nothing for the region's other economies. Furthermore, several major economies – Argentina, Brazil, Colombia and Ecuador – are net energy exporters. As a result, they stand to gain from the rise in global oil prices (via terms of trade, export and tax revenues).

Financial market reactions: negative, but relatively moderate

Advanced economies: Stock markets have so far recorded a relatively moderate downturn. However, the decline has been more pronounced in Asia and Europe, which are more vulnerable to an energy shock, compared to the United States. The Eurostoxx 100 has fallen by 7.4% since the start of the conflict, compared with a 4.4% decline for the S&P 500. The DXY dollar index has risen by around 1.5% over the same period, gaining strength against the main G7 currencies. Ten-year bond yields have risen across the board: by 30 basis points (US, Germany, France) to 40 basis points (Italy, UK), while Japanese yields have risen by 15 basis points.

For advanced economies, although these increases may still seem relatively small, they come on top of the rises seen in 2025. In the Eurozone, these increases have pushed long-term rates above the peaks seen at the end of 2023, following the inflationary shock of 2022–23, returning to levels not seen since 2010 or 2011 (depending on the case) and even 2008 for the UK.

Emerging economies: The conflict has **put** moderate pressure on domestic interest rates. The countries most affected are South Africa, the Philippines, Pakistan, Central European countries and, above all, Türkiye. In the case of Türkiye, yields on 5-year government bonds have risen by 330 basis points since 27 February, reflecting an inflation premium that appears to be higher than for other emerging markets. Risk premiums have reacted little, with increases generally remaining below 15 bp. Emerging market currencies are also holding up for the time being. Since 27 February, only a few currencies have depreciated by more than 5%, with the Egyptian pound seeing the sharpest fall (-8.1%). The Hungarian forint has depreciated by 3.3% against the euro and by 5.4% against the dollar. In Asia, the currencies that have recorded the sharpest depreciation against the US dollar are the Thai baht, the South Korean won and the Philippine peso, with declines ranging from -5.1% to -3.5%. The Chinese yuan has depreciated by less than 0.5% against the dollar, **putting an end to** the appreciation trend seen since the start of 2026. The Indian and Indonesian rupees, along with the Malaysian ringgit, have remained strong so far, but pressures on the Indian rupee are mounting. Latin American currencies have held up well.

These differences in market reaction can largely be explained by the varying degrees of vulnerability to the energy shock. Similarly, stock market performance in the Middle East mirrors the extent of countries' vulnerability to the consequences of the conflict: the Dubai market has been hardest hit (-15% since 27 February), while the markets in Saudi Arabia and Oman have held up much better.

Markets overview

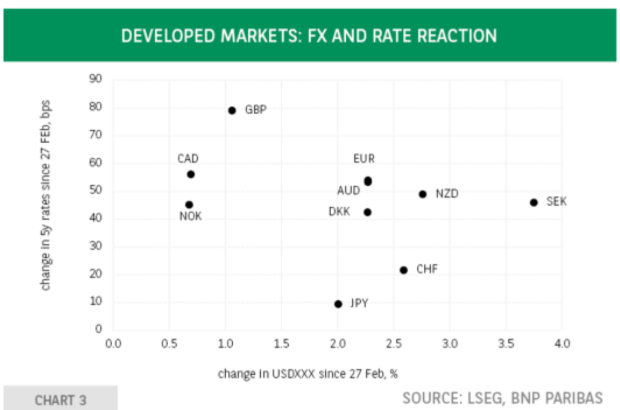
	in % change					
	20/03/2026	1-Day	1-Week	1-Month	Year to date	1-Year
S&P500	6506.5	-1.5	-1.9	-5.8	-5.0	+14.9
Nasdaq Composite	21647.6	-2.0	-2.1	-5.4	-6.9	+22.4
Euro STOXX 50	5501.28	-1.9	-3.8	-10.3	-5.0	+0.9
CAC40	7665.62	-2.0	-3.1	-10.0	-5.9	-5.3
Euro STOXX Banks	235.02	-1.8	-2.6	-13.6	-10.7	+21.7
BNP Paribas	82.13	-1.9	-3.3	-13.3	+1.7	+3.9
Nikkei 225*	53372.53	-2.8	-2.0	-7.1	+6.0	+41.4
Hang Seng Index	25277.32	-3.4	-0.7	-4.3	-1.4	+4.4

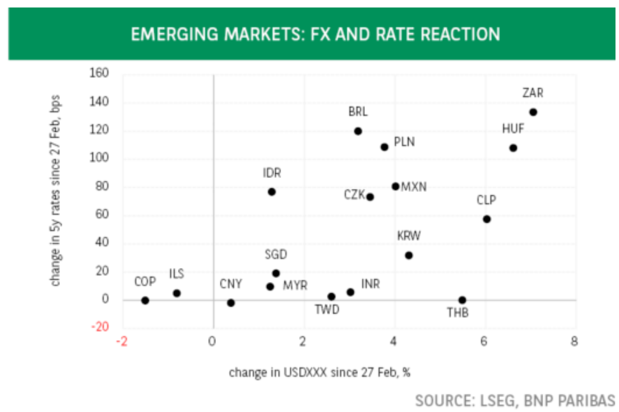
*** 19/03/2026**

	in bps					
	20/03/2026	1-Day	1-Week	1-Month	Year to date	1-Year
OAT 10Y (%)	3.76	+11.3	+8.2	+45.5	+19.1	+27.4
Bund 10Y (%)	3.04	+8.1	+6.0	+30.6	+18.8	+26.3
US Tr. 10Y (%)	4.38	+13.0	+10.3	+29.7	+21.3	+14.3
JGB 10Y (%)	2.28	+5.8	+8.9	+12.7	+21.1	+76.1
Gilt 10Y (%)	4.99	+15.1	+17.1	+64.1	+51.5	+34.8
	in % change					
EURUSD	1.16	-0.1	+1.4	-1.8	-1.5	+6.6
DXY Index	99.65	+0.4	-0.7	+1.9	+1.3	-4.0
Brent ($/bbl)	112.19	+3.3	+8.8	+56.3	+84.4	+55.8
Dutch TTF Price (€/MWh)	59.26	-4.2	+18.2	+85.0	+101.0	+35.6

Source: Bloomberg, BNP Paribas

Market performance since the start of the conflict in Iran





Higher inflation and central banks on alert

United States

The latest developments confirm, even reinforce, an upward trajectory for inflation compared with the initial forecast. The upcoming CPI figures will already reflect the direct and immediate impact of rising retail petrol prices (+31% in 2026 YTD, +25% since the week the intervention in Iran began). The **risks are therefore clearly skewed to the upside**, particularly if scenario 4 materialises, in which case *headline* inflation could exceed +4.0% y/y as early as Q2 2026.

At its latest meeting, the Fed revised its inflation forecasts for 2026 upwards, albeit by a relatively modest margin on the implicit assumption of a temporary shock. Chair Jerome Powell stated it was "too early to tell" what impact the war in Iran would have on US inflation. The median PCE estimate for 2026 was raised to 2.7% from 2.4% in the December projections, whilst the forecast for 2027 was raised by 0.1 percentage points to 2.2%. At this stage, the Fed still expects inflation to return to the 2% target in the fairly near future. The estimate for the long-term policy rate has also been raised slightly (3.1%, +0.1 percentage points). As with the ECB, the Fed is allowing itself time to assess the effects of the war on inflationary dynamics. Both central banks will be more responsive if necessary at their next meeting in April.

At this stage, we still expect the *Fed Funds* target to remain at 3.5%–3.75% throughout 2026 and 2027. Indeed, whilst the *Summary of Economic Projections* for Q1 2026 maintains the median forecast of a rate cut this year, Jerome Powell has distanced himself somewhat and reiterated that this cut was conditional on a decline in inflation – a decline that is now unlikely to materialise. However, the Fed's reaction function remains skewed in favour of the 'maximum employment' component of its dual mandate, and the statement from the March FOMC meeting retains the reference to potential 'further adjustments' (i.e. beyond the cuts already implemented).

Thus, **in our view, a decision by the Fed to raise its key interest rate would require several conditions to be met**. Not only would it take a rapid and significant pass-through of the energy price shock to core inflation via second-round effects, but growth would also need to prove sufficiently resilient despite this. Indeed, if risks to employment were to increase, this would hamper tightening.

Eurozone

An increase of nearly 0.6 percentage points in inflation (year-on-year) appears already a foregone conclusion for March given the rise in fuel prices (inflation would thus reach 2.5% y/y, compared with 1.9% in our pre-conflict scenario).

As expected, the ECB kept its key interest rates unchanged in March, but it has already factored into its new macroeconomic projections significant impacts on growth and inflation in 2026 resulting from the rise in energy prices. The new baseline scenario incorporates a limited price shock, which would subside fairly quickly, with energy prices falling rapidly from Q3 onwards. At this stage, the ECB therefore anticipates a return to the 2% target in 2027. However, these scenarios already appear difficult to achieve. The alternative scenarios presented by the ECB, which are not directly comparable to ours, would have more severe and lasting implications for inflation than our scenarios, due to the destruction of energy production capacity in Iran (in this scenario, Brent crude would reach USD 145 per barrel and the TTF EUR 106/MWh in Q2 2026, leading to *headline* inflation in the Eurozone of 4.4% in 2026 and 4.8% in 2027). For the Eurozone, we expect scenarios 1 and 2 to lead to a temporary rebound in inflation (around 4% year-on-year by the end of 2026) but no upward pressure in the longer term, with a gradual convergence towards the 2% target during 2027. By contrast, the most severe scenario would push inflation to a peak of 6% and keep it well above target in 2027.

Against this backdrop, we have revised our ECB rate scenario: we now expect three consecutive 25bp hikes in key interest rates in June, July and September.

United Kingdom

The prospect of inflation returning to target this year looks increasingly unlikely. The economy appears all the more vulnerable to the energy shock as it is starting from an already high level of inflation (3% y/y in January). Whilst a slowdown in the labour market and a negative output gap could limit second-round effects, the impact on oil prices of the damage caused to energy infrastructure has already led the Bank of England (BoE) to raise its short-term inflation forecasts (now expected to be 3% in Q2, up from 2.1% in February, and 3.5% in Q3). Whilst a rate cut was a possibility before the outbreak of war, the BoE kept its base rate at 3.75% in March. This unanimous decision by its nine members reflects a tougher stance aimed at preventing inflation expectations from becoming unanchored. Whilst it is currently adopting a wait-and-see approach to developments, it is not ruling out any scenario regarding the future direction of its monetary policy, including a possible tightening, as keeping inflation under control remains the priority. We therefore see a high probability of rate hikes this year, perhaps as early as April. The markets, for their part, are expecting more than two rate hikes.

Japan

The Bank of Japan's (BoJ) March meeting confirmed the initial outlook, namely that interest rate hikes are likely to continue. The hawkish bias appears to remain intact, but the pace could be even slower than expected because of the risks looming over economic activity. The committee is awaiting further information to reassess the balance of risks. The BoJ's central scenario, which we share, points to a rebound in core inflation later in the year following a dip in H1 2026 (linked to base effects and energy subsidies). The risks surrounding this scenario are mainly on the upside due to the energy shock. According to Kazuo Ueda, the BoJ governor, further rate hikes are possible even if there is downward pressure on economic activity linked to the energy price shock. However, this will depend on whether the shock is temporary or not, and on its impact on core inflation. Kazuo Ueda also mentioned companies' greater ability to pass on cost increases and the need to monitor the USD/JPY exchange rate, two factors pointing to a bullish bias. Market expectations have not changed significantly since the outbreak of war in Iran, remaining at one rate hike by the July meeting and a 70–90% probability of a second hike by the end of 2026. For our part, we anticipate that the next rate hike will take place as early as in the April meeting.

Emerging markets

In emerging markets, higher inflation is expected across all countries, although the extent of the increase will vary. Several factors will exacerbate the inflationary impact: a significant direct impact of rising global energy prices on national price indices (the share of energy in emerging market consumer price indices is generally high, up to 13%) and spillover effects to other commodities (the risks of a spillover to agricultural prices are rising rapidly). Other factors, **conversely**, are limiting the impact on inflation, including limited currency depreciation against the US dollar, the current cyclical position of emerging economies (which are not overheating), and the existence of subsidies and other mechanisms to mitigate the rise in energy prices for households and businesses.

Since the start of the war, EM central banks have not raised interest rates: monetary authorities in Malaysia and Taiwan have left key interest rates unchanged, against a backdrop of low inflation (1.5% and 1.2% year-on-year respectively in the first two months of 2026); the Indonesian central bank has also left its rates unchanged despite mounting inflationary pressures (+4.8% year-on-year in February). In Brazil, the central bank began its cycle of monetary easing, as was expected before the war (with a Selic rate cut that was, however, smaller than expected, at 25 bp). In South Africa, the rate cut expected in March is likely to be postponed. nflation had begun to rise before the conflict in India (+3.2% y/y in February) and the Philippines (+2.3%), but the central banks of these two countries are not expected to raise their policy rates in the very short term. Similarly, in Chile, Peru and Mexico, they have already concluded their easing cycle, and it is likely that they will opt to keep their rates unchanged at their next meetings.

In Central Europe, the prospects for the moderate easing that was initially anticipated in Poland and Hungary have largely faded. Inflation had returned to the central banks' target in Hungary, Poland and the Czech Republic several months ago. However, a resurgence in inflation is expected as early as March; retail petrol prices are already showing a significant rise (ranging from +1.2% in Slovakia to +12.8% in Poland for petrol). In Romania, the rise is also notable (+11.1%, with prices matching the peak seen in 2022). In Hungary, the cap on petrol prices has not prevented a 6.8% increase for petrol and a 7.1% increase for diesel compared to prices prior to the conflict in the Middle East. Hungary appears to be the country most exposed to inflationary pressures in the region: on the one hand, the ‘food’ category accounts for a significant proportion (over 20%) of the household basket, and on the other, the Hungarian forint is experiencing periods of volatility.

EXPECTATIONS OF RATE: NUMBER OF HIKES/CUTS IN 2026

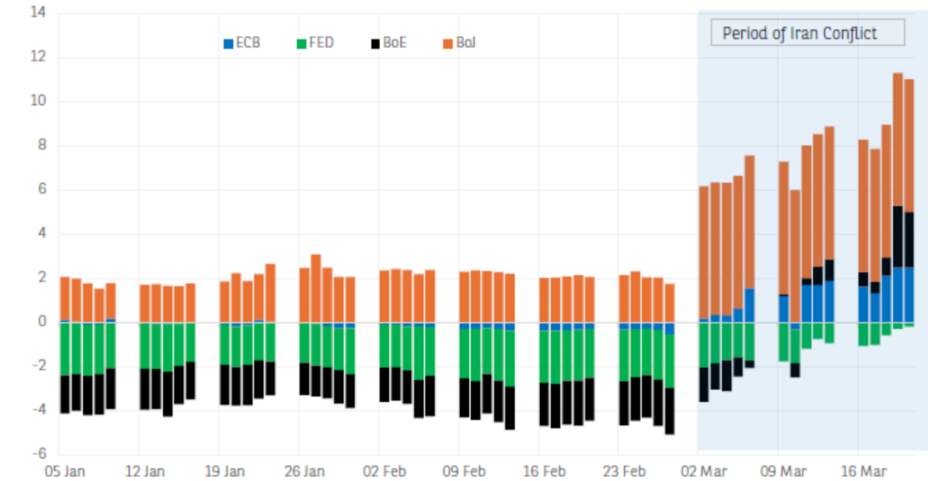


CHART 4

SOURCES : BLOOMBERG WORLD INTEREST RATE PROBABILITIES, BNP PARIBAS

Government responses remain limited for the time being

Fiscal responses from advanced economies remain limited at this stage, constrained by high debt levels and long-term interest rates that exceed those of 2022, in a context where inflation is significantly more subdued than it was at that time. Nevertheless, the duration and scale of energy price rises are increasing political pressure.

In Europe, the European Council stressed the need for a coordinated response and asked the Commission to promptly present a set of targeted, temporary measures to tackle the recent spikes in the price of imported fossil fuels. It also called for concrete steps to lower electricity prices and curb excessive short-term volatility, especially for energy-intensive sectors, while taking into account the different situations across Member States. The Council also wants the Commission to work closely with the Member States to design temporary, targeted national measures that ease the significant impact of fuel costs and related cost components on electricity production costs, as well as the impact of all other cost elements. At the same time, it stressed the importance of preserving long-term investment signals, supporting the acceleration of renewable and low-carbon energy production, and ensuring fair competition within the internal market.

The ECB, for its part, has called for any fiscal measures to be “temporary, targeted and tailored”. So far, apart from the release of strategic reserves as part of the IEA initiative, only Italy and Spain have introduced new measures. The Italian government approved a temporary reinstatement, lasting 20 days, of variable excise duties and fuel-price controls. It also plans, in the longer term, to tax the extra profits earned by energy compagnies. In Spain, the government approved a EUR 5 billion assistance plan containing 80 measures, including a cut in the VAT electricity from 21% to 10% and the removal of other energy taxes. It is also looking to increase LNG imports from Algeria.

Portugal has extended an existing exceptional scheme to reduce fuel taxes. For its part, Germany aims to limit pump-price rises to one per day and to intensify monitoring of those prices. The German government is also considering a levy on the extraordinary profits of oil firms in order to capture part of the gains and fund consumer-aid measures such as high travel allowances. France is considering capping fuel retailers’ margins. Greece has announced plans to cap profit margins on fuel and on major consumer goods for a three-month period.

The **UK** is introducing a highly targeted support package (GBP 53 million for vulnerable households), at a negligible fiscal cost and in an order of magnitude lower than in 2022.2022 levels, in line with its consolidation objective. In **the United States**, the measures include lifting restrictions on foreign vessels transporting goods between US ports for ships carrying hydrocarbons and raw materials, and easing economic sanctions on oil (from Russia, Venezuela, and possibly soon Iran). Finally, **Japan** stands out for its more proactive approach, which includes the release of oil reserves, subsidies to stabilise petrol prices and the possibility of intervening in the foreign exchange market in the event of high JPY volatility. Overall, this limited fiscal support is likely to only partially alleviate the negative shock to demand, while also somewhat mitigating the disinflationary effect, which complicates the central banks’ ability to respond.

In emerging economies, more governments are taking action by either introducing or expanding subsidies or mechanisms designed to mitigate the impact of the energy crisis on households (such as Hungary, Croatia, Türkiye, Indonesia, Taiwan, South Korea, Vietnam, China). For instance, on 10 March 2026, the Hungarian government implemented a cap on fuel prices (applicable only to vehicles registered in Hungary). The tax on petroleum products has also been reduced, but this represents a shortfall in tax revenue and is expected to exacerbate the budget deficit this year (-5.5% of GDP).

Advanced economies: comparison with 2022

On the inflation front, significant price pressures emerged as early as 2021 due to the post-Covid recovery (a rebound in demand, supply chain disruptions linked, in particular, to the prolonged lockdown in China). This was compounded by a rise in gas prices resulting from the gradual decline in Russian supplies. By January 2022, this had resulted in headline inflation of 5.1% y/y in the Eurozone and 7.6% in the United States, a rise that was further exacerbated by the outbreak of war in Ukraine. Headline harmonised inflation in the Eurozone peaked in October 2022 (10.6% y/y), while core inflation peaked in March 2023 (5.7%). Our four inflation scenarios remain, at this stage, more moderate than in 2022.

On the fiscal front, the governments of the major advanced economies implemented support measures on an unprecedented scale in 2022; the most costly of these was the introduction of direct energy price subsidies, which took the form of price caps or reductions on gas and electricity (the 'energy price guarantee' in the United Kingdom, VAT reductions in Italy and Germany, a tariff shield in France, and the 'Iberian exception' in Spain). Reductions in fuel taxes were also introduced (France, Spain), as well as direct transfers to households (energy vouchers in France, a €300 payment to employees in Germany). In the United States, the main measures focused on supply, notably through the energy component of the Inflation Reduction Act (2022), for long-term investments in the energy transition for households and businesses. The current response is therefore comparatively much more limited (to date, only measures to cap price rises at the pump have been announced in Germany and Japan), while the UK has established a £53 million fund for households that heat their homes with domestic heating oil.

On the monetary front, the central banks' response to the 2022 shock came against a backdrop of already high inflation, which the Fed and the ECB nevertheless described as 'transitory'. Unlike the present situation, key interest rates were at historically low levels following further easing to mitigate the impact of Covid-19. Furthermore, in the case of the United States, demand was strong enough for the Fed to pursue a slowdown in order to rebalance with supply. The sharp acceleration in inflation following the outbreak of war in Ukraine has forced central banks to react decisively. Consequently, the Fed raised its rates by a total of 550 basis points between March 2022 and July 2023, and the ECB by 450 basis points between July 2022 and September 2023. The monetary cycle is now significantly less accommodative overall, giving central banks a better starting position and, consequently, greater control to curb any second-round effects.

Conclusion

The coming weeks will be crucial for assessing the impact of this war.

The key points to watch, beyond developments on the ground and fluctuations in energy prices, will specifically concern:

- The extent of second-round effects and the potential emergence of bottlenecks in other commodity markets
- Changes in businesses' expectations regarding their selling prices, in the face of rising production costs and shrinking margins
- The likelihood of a spillover from a supply shock to a demand shock, which might first become apparent in changes to confidence indicators (household confidence surveys, PMI indices) and, in the medium term, in wage trends
- The knock-on effects of the conflict on other sectors of the economy (public finances, private credit)

Article completed on 20 March 2026

Authors: Advanced Economies team (contact:stephane.colliac@bnpparibas.com), Emerging Economies team (contact:christine.peltier@bnpparibas.com) and Country Risk team (contact: françois.faure@bnpparibas.com)

Charts: Tarik Rharrab

CENTRAL EUROPEAN ECONOMIES ARE PERFORMING WELL DESPITE SIGNIFICANT DEMOGRAPHIC CHALLENGES

Cynthia Kalasopatan Antoine

Diverse demographic situations, mostly unfavourable

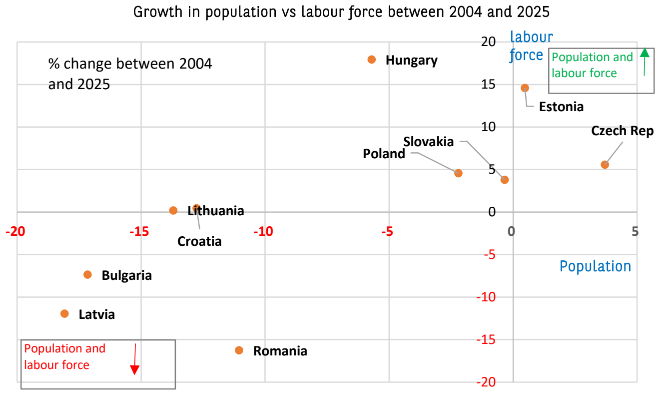


CHART 1 SOURCE: EUROSTAT, NATIONAL STATISTICS, CALCULATIONS BNP PARIBAS

Note: Data for the working-age population is available up to Q3 2025. For the total population, data is available for Poland, Hungary and Slovakia in 2025; for other countries, data is projected for 2025.

Central Europe's gain in market share in Germany

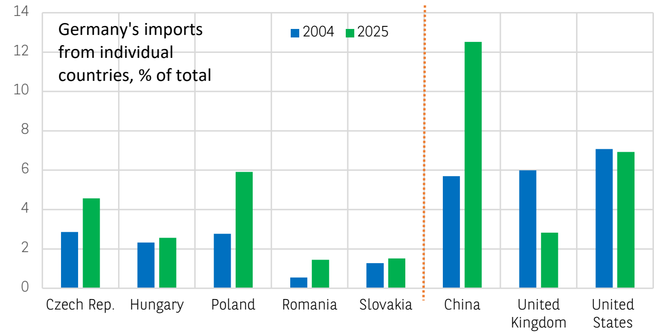


CHART 2 SOURCE: STATISTISCHES BUNDESAMT, CALCULATIONS BNP PARIBAS

Adverse demographic trends. For several years, Central Europe has been facing a marked demographic decline. Its magnitude varies from one country to another (see *Chart 1*). The total population decline from 2004 to 2025 ranges from -0.3% in Slovakia to -17.2% in Bulgaria. The Czech Republic is the only country in the region to have seen a population increase over the same period. The working-age population (ages 15–64) is also declining. However, the situation is less unfavourable in Hungary, Poland, the Czech Republic and Slovakia, while Romania and Bulgaria are experiencing a more significant decline due to migration patterns. Net migration flows were negative for Bulgaria until 2019 and for Romania until 2021. However, this trend has reversed in recent years. Recently, the arrival of Ukrainian refugees has eased the pressure on the working-age population, especially in Poland and the Czech Republic. Ukrainian refugees now account for around 5% of the workforce in Poland.

Medium-term concerns. By 2030, demographic trends are expected to deteriorate further, raising concerns about potential upward wage pressures, a loss of competitiveness and a structural weakening of potential growth.

Additional assets to underpin growth. Despite demographic headwinds, the economies of Central Europe have fared rather well so far, primarily due to several key factors:

1) The influx of EU funds (approximately EUR 430 billion between 2004 and 2024, or 20% of GDP). Support from EU funds is expected to continue, and these countries will remain net beneficiaries in the medium term.

2) Over the past two decades, productivity growth has outpaced wage costs. This has enabled Central European countries to gain market share in Germany (see *Chart 2*), as well as to achieve notable economic convergence with developed economies.

3) A skilled workforce (secondary and higher education graduates account for around 90% of total employment).

Certain strategic sectors, such as electric mobility, AI and defence, are projected to continue attracting foreign direct investment. Hungary and Poland aim to become regional powerhouses in electric mobility, particularly through the production of batteries for electric vehicles. When it comes to AI, Central European countries already have high-performance digital infrastructure, and governments in the region are implementing highly ambitious strategies (see the sections on Hungary and Poland in our 'Emerging Economies EcoPerspectives from March 2026). They have therefore drawn up national plans focused on AI to position their respective countries as key investment hubs.

Cynthia Kalasopatan Antoine
cynthia.kalasopatanantoine@bnpparibas.com

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE
Easy-to-read monthly overview of inflation dynamics

ECOCHARTS
Monthly barometer of key economic indicators of the main OECD countries.

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
[see the Economic Research website]

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

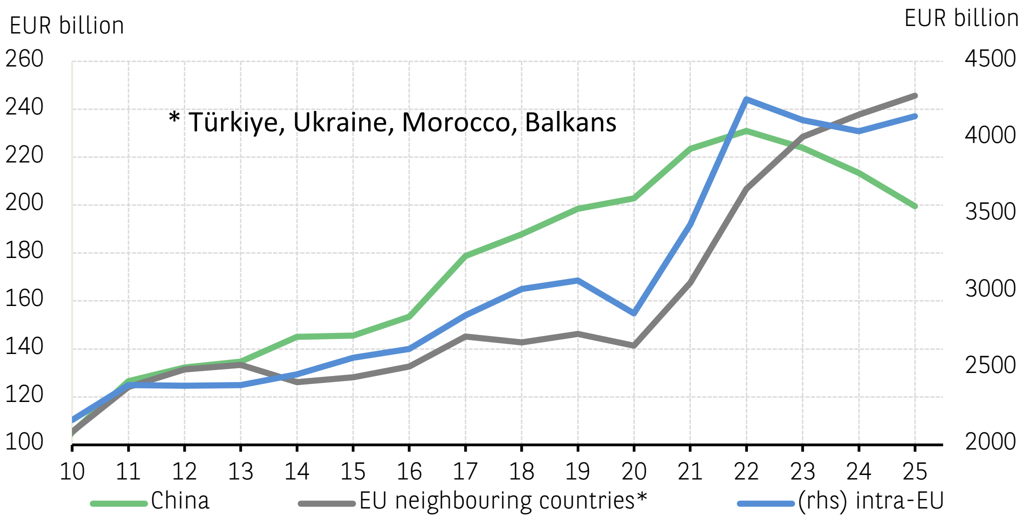
BNP PARIBAS

La banque
d'un monde
qui change

THE EUROPEAN 'NEIGHBOURHOOD': AN IMPORTANT GROWTH DRIVER FOR EU EXPORTS

Guillaume Derrien

EUROPEAN UNION EXPORTS



SOURCE: EUROSTAT, BNP PARIBAS

Fewer exports to China... Market opportunities in China are shrinking dramatically due to the country's shift towards higher-end products and its import substitution policy. 2025 marked an unprecedented turning point in this regard: European exports to China fell by 14% in nominal terms and by 10.2% in volume, as the country's share of total EU exports (7.5%) reached its lowest level in nearly fifteen years.

... but more exports between European partners and neighbours. European exports outside the EU area, however, grew in 2025, posting a nominal increase of 2.0%, alongside a rebound in intra-zone trade (up 2.5%). Strong demand in the pharmaceutical sector led to a resurgence in exports to Switzerland (+13.5%). At the same time, European exporters have been exploring alternative markets in their immediate vicinity since 2020, and increased access to these markets is now timely. Türkiye, Morocco, Ukraine and the Balkans[1] are capturing a growing share of European exports. A pivotal moment was reached in 2023, when the total exports to these countries exceeded those to China[2]. This bloc now accounts for nearly 10% (9.4% in 2025) of total EU exports, excluding intra-zone trade.

The machinery and equipment sector is benefiting most from this trend (despite experiencing a sharp decline in its markets in China). These developments are closely linked to rising European investment in these countries, which are therefore eligible for EU funding (notably from the European Investment Bank or, in the future, under *Readiness 2030*).

A structural reinforcement that is set to increase. Economic ties between the EU and its neighbours are strengthening: trade in goods (total exports and imports combined) has reached 8.5% of the EU's overall trade, excluding intra-zone trade. This shift in European trade patterns is structural and reflects the industrial transformation of these countries, which are becoming increasingly integrated in the European value chain. Türkiye and Morocco are importing more intermediate goods from the EU and re-exporting more finished goods back to the EU, particularly in the automotive sector. For Ukraine, the dynamics are different. However, current demand for equipment, particularly military equipment, along with the demand that is expected during reconstruction, will bolster European exports. The Balkan countries, meanwhile, are benefiting from the EUR 6 billion European Growth Plan and greater integration into the EU single market.

These growth drivers for European companies are set to strengthen in the coming years, with initiatives aimed at relocating some industrial activities closer to the European market (nearshoring). This trend is anticipated to develop in tandem with the expected strengthening of intra-EU trade, driven by increased investment efforts. It should also benefit those who qualify for access through the advancement of European preference policies, which are central to the Industrial Accelerator Act introduced by the European Commission on 4 March.

Guillaume Derrien
guillaume.a.derrien@bnpparibas.com

1 Includes Serbia, Albania, Montenegro, Bosnia and Herzegovina, North Macedonia and Kosovo.
2 Specifically, between 2019 and 2025, EU exports grew by 68% to Türkiye, 58% to Morocco, 92% to Ukraine and 57% to the Balkans.

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE
Easy-to-read monthly overview of inflation dynamics

ECOCHARTS
Monthly barometer of key economic indicators of the main OECD countries.

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

La banque
d'un monde
qui change

THE RISE OF ARTIFICIAL INTELLIGENCE: STRATEGIC OPPORTUNITIES FOR EMERGING COUNTRIES

Emerging countries with strategic resources, such as critical metals and semiconductor production capacities, have become key players in the rise of artificial intelligence (AI). Those that are well positioned in AI supply chains have both a growth engine and a major geopolitical advantage. Asia's industrialised economies, which account for over 85% of the world's exports of electronic chips, are best placed to benefit from the increasing demand for AI. However, this advantage also exposes them to a potential correction in the technology boom. Latin American countries that extract minerals critical to AI have strategic leverage, but they will need to forge partnerships and attract foreign investment to strengthen their position in supply chains. Regardless of whether they supply minerals or chips, these countries are all exposed to the risks associated with the concentration of the main AI players amid heightened geopolitical tensions. Finally, Central Europe is relying on a skilled workforce and ambitious plans to leverage AI for economic development.

EMERGING COUNTRIES AND AI: VARIED POSITIONS

Emerging countries' positions regarding AI vary greatly, whether in terms of their ability to innovate, finance and adopt technologies; their exposure to AI's impact on productivity and employment; or their position within supply chains. In 2026, as in 2025, these supply chains will serve as the primary channel for transmitting the effects of the AI boom to emerging economies. In fact, in 2025, the sharp increase in technology investments, particularly in AI, fuelled global demand for electronic products and other goods associated with AI development. This has significantly bolstered exports and economic growth in countries that produce critical raw materials and, above all, high value-added manufactured goods. This is an important factor explaining the strong average growth performance of emerging economies in 2025 (estimated at 4.3%, stable compared to 2024).

Currently, the impact of AI expansion on the growth of emerging economies (excluding China) therefore primarily occurs through the spillover effects of investment in physical AI infrastructure. Although AI is expected to be adopted more quickly than previous innovations, its impact on productivity will only become evident after a period of diffusion of the new technology, contingent upon investments in both physical and human capital that facilitate its adoption (equipment upgrades, reorganisation of production processes, training, etc.).

Among emerging economies, the most developed Asian countries, China, the Baltic states and Central European countries are best positioned to deploy and use AI, according to the IMF's AI Preparedness Index (AIPI). Following them are Türkiye and the countries of the Middle East. The average capacity of Latin American countries and, above all, sub-Saharan Africa (SSA) to use AI is much more limited (the average AIPI for SSA is 0.34). *See Chart 1.*

A CLEAR ADVANTAGE IN SUPPLY CHAINS

Overall, while emerging economies are not as well positioned as advanced economies to take advantage of the adoption and diffusion of AI (the average AIPI for G7 countries is 0.72), they are better positioned within AI supply chains. These encompass activities related to the chip industry (design, manufacturing and assembly), equipment and other electronic materials, as well as AI infrastructure (such as supercomputers and data centres). These sectors are extremely capital-intensive and energy-intensive (*see page 6*), as well as demanding in terms of water and minerals. They have also become highly strategic.

As a result, countries that are well positioned within AI supply chains – primarily producers of critical metals, electricity and advanced semiconductors – have both a growth engine and a geopolitical advantage. This advantage is expected to strengthen in the short term, assuming that the surge in investment in data centres and other AI infrastructure continues. Currently, the four major players in the sector in the United States (Amazon, Microsoft, Meta, Google) are planning to invest USD 620 billion in 2026, four times the amount invested in 2023 and a 60% increase on 2025. These investments will drive global demand for semiconductors, with the market projected to grow by 26% in 2026 (following a 22% increase in 2025), according to forecasts from World Semiconductor Trade Statistics.

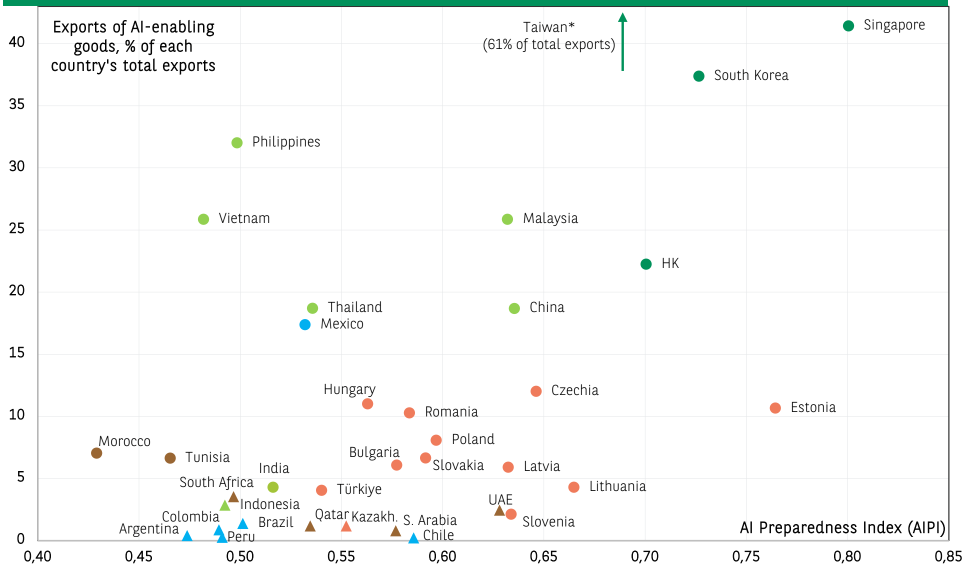
To assess countries' positioning within supply chains, we use export data for "AI-enabling goods" or "AI-related goods", as estimated by Oxford Economics and based on the WTO nomenclature. This results in a broad estimate of exports of AI-related goods. It includes raw materials, chemicals, equipment, semiconductors and other electrical and electronic equipment used in AI, as well as those that are "likely to be used" in AI (and potentially in other applications as well). In 2025, total exports of "AI-related goods" are estimated at USD 3.3 trillion, or around 12% of global merchandise exports. Semiconductors and other electronic components account for around 70% of the total, equipment for 25%, and raw materials and chemicals make up less than 5%. This last figure, which may seem surprising, contrasts with the strategic importance of the critical materials required for AI, but can be explained by the very small quantities that are ultimately used.

CHINA IS HOT ON THE HEELS OF THE UNITED STATES IN THE AI RACE

AI has become a battleground of intense competition between China and the United States. For Beijing, the AI sector is central to its strategy of enhancing China's technological supremacy globally and strengthening its national security. On the domestic front, AI is also a key element of the authorities' economic strategy (*see note on China in this issue of EcoPerspectives, page 11*). Innovation, the development of AI and its widespread deployment in the country are expected to boost productivity gains and support growth at a time when China is adjusting its economic engines (expansion of the export manufacturing sector against reduced reliance on the real estate sector and debt-financed investment) and facing demographic challenges. The country is also relatively well-positioned to adopt AI. The IMF's AI preparedness index confirms this position: it stands at 0.64 for China, compared with 0.46 for emerging economies and 0.68 for advanced economies.

In the race for AI, China has been rapidly closing the gap with the United States in recent years, thanks to huge investment and innovation efforts. The United States maintains its lead in computing power and the design of the most advanced chips (Nvidia) and controls the export of these chips to China. For its part, China is developing increasingly sophisticated models and has become a leader in open-source

AI-RELATED OPPORTUNITIES: ASIAN COUNTRIES ARE THE BEST POSITIONNED



Exported goods: ● mostly manuf. ▲ mostly commodities
AI preparedness index of the IMF: the AIPI is the sum of 4 dimensions: digital infrastructure, human capital, technological innovation, and legal frameworks.
* There is no AIPI for Taiwan

CHART 1 SOURCES : IMF (ITG AND AIPI DATA), OXFORD ECONOMICS, BNP PARIBAS

models as well as data collection. It is involved in almost the entire AI value chain and, most importantly, controls the supply of critical materials. The rivalry and race for technological supremacy between China and the United States will be determining factors in the evolution and decoupling of AI production chains in the medium term.

INDUSTRIALISED ASIAN COUNTRIES: PRIMARY BENEFICIARIES

Industrialised Asian countries occupy a prominent place in the AI supply chain, owing to the specialisation of their export base in semiconductors and other high-tech goods. Over 85% of global exports in the semiconductor sector[1] and 65% of global exports of "AI-related" goods[2] come from Asian countries. *See Charts 2 and 3.*

This specialisation has provided them with considerable advantages in recent months. While global trade experienced robust growth in 2025 (with total exports estimated to have risen by 5% in volume), Asia registered even greater export growth (+14.8% in volume for the most advanced countries[3], +8.5% for China and +6.4% for other countries in the region). The technology sector has accounted for over 80% of the growth in exports from Asia, excluding China, since April 2025, and nearly 60% of the growth in Chinese exports (IMF estimate, WEO Update, January 2026).

China accounts for 21% of all AI-related goods exported worldwide. Taiwan's position is also highly strategic as it lies at the core of the semiconductor supply chain, which is vital to the AI sector. This strategic importance is based on the high degree of openness and specialisation of its economy (61% of its exports are AI-related goods, the highest percentage worldwide) and its significant technological advantage.

Taiwan supplies 11% of the goods needed for AI and 15% of the semiconductors exported worldwide, and it manufactures almost all of the most advanced chips specialised for AI, (these chips are notably designed by Nvidia in the United States and manufactured by TSMC in Taiwan). In 2025, Taiwan's total exports jumped by 35% in value and 34% in volume, including a 79% increase to the United States. This leadership role also provides security for the island[4] and is a strategic asset that Taiwan emphasises in its negotiations with the United States and its other trading partners.

After China, Taiwan (and the United States), the countries that are best positioned within AI supply chains include South Korea, Singapore, Vietnam and Malaysia, which are ahead of Germany, the Netherlands and Mexico (*see note on Mexico, page 29*). These countries account for between 3% and 8% of global exports of AI-related goods in 2025, again according to the WTO nomenclature.

In the semiconductor sector, the value chain is characterised by significant fragmentation[5], which is reflected in the organisation of production in Asia. China is involved in various stages of production. Taiwan, South Korea and Japan specialise in the manufacture of silicon wafers, which are essential for etching integrated circuits. Together with China, these three countries accounted for 80% of wafer production capacity in 2025. Further along the supply chain, Malaysia, Vietnam and the Philippines specialise in the assembly, testing and packaging (OSAT) of chips to make electronic components. Although the contribution to GDP is relatively modest, the dynamism of the sector in 2025 has significantly driven the economic growth of these countries (*see note on Malaysia, page 15*).

1 BNP Paribas calculations for 2024-2025, ITC/COMTRADE data.
2 Estimate for 2025 based on Oxford Economics data.
3 South Korea, Taiwan, Hong Kong (99% of whose exports are re-exports of goods originating mainly from China and other Asian countries), Singapore (75% of whose exports are re-exports or exports of petroleum products).
4 In 2025, Taiwan announced substantial investments in the US as part of the trade agreement negotiated with Washington. Since October 2025, TSMC and Nvidia have commenced joint production of their first chips (silicon wafers) on US soil, in a factory in Phoenix. However, Taiwan continues to hold a monopoly on product finalisation for the time being, as the last stage of manufacturing (encapsulation) is carried out on the island, enabling it to maintain its "silicon shield".
5 See OECD, "Vulnerabilities in the semiconductor supply chain", No. 2023/05, https://doi.org/10.1787/6bed616f-en.

ASIA'S DOMINANCE IN SUPPLY CHAINS

Total world exports of AI-enabling goods, market shares (% of total)

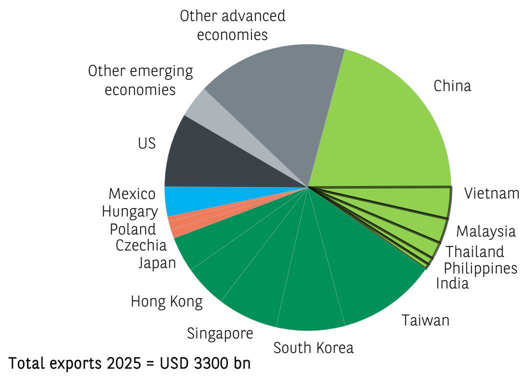


CHART 2 SOURCE: OXFORD ECONOMICS, WTO, BNP PARIBAS

Total world exports of semiconductors, market shares (% of total)

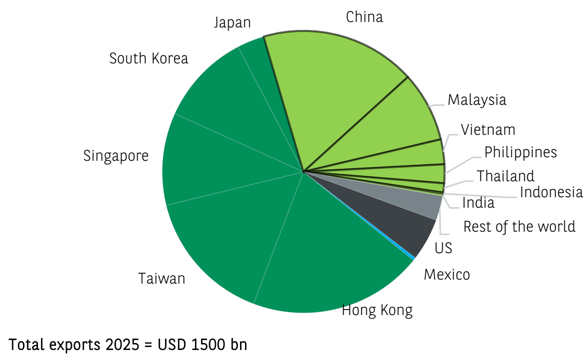


CHART 3 SOURCE: ITC, UN COMTRADE, BNP PARIBAS

PRODUCERS OF CRITICAL MATERIALS: A STRATEGIC POSITION

Raw materials account for only 2% of global exports of AI-related goods (again according to the WTO nomenclature). However, they hold strategic significance. The leading suppliers are located in the Middle East (particularly the United Arab Emirates), Asia (particularly Indonesia) and Latin America.

Global demand for raw materials essential for AI (specifically for chips and data centres) is projected to rise considerably in the coming years. The International Energy Agency (IEA) estimates, for example, that the demand for copper from data centres could more than double by 2030. This would represent around 2% of current global copper consumption. All these materials (including copper, aluminium, gold, silicon, palladium, germanium, gallium, etc.) are considered "critical" due to their low substitutability, their importance in generating value for global industry, and the geographical concentration of supplier countries (for raw or refined products).

The processes of exploring, extracting and processing minerals are difficult, time-consuming and expensive, but the quantities required for their end use are small. Consequently, significant supply challenges directly related to production issues or bottlenecks do not pose the greatest risk in the short term. On the other hand, the critical nature of these materials and the challenges posed by AI confer upon them a strategic role as tools in international relations and trade negotiations. The number of export restrictions on these metals has increased in recent years, and ongoing geopolitical tensions are amplifying the vulnerability of AI supply chains to the risk of supply disruptions.

China has the most powerful means of exerting pressure, thanks to its largely dominant role in the production of critical materials. Advanced countries are taking steps to reduce this vulnerability[6], but it will take them years to meet domestic demand, while China is implementing a development plan that was drawn up several years ago. Consequently, the growth of AI could potentially heighten, at least in the short term, the world's dependence on China, alongside Sino-American rivalry and geopolitical tensions.

In this context, the boom in the AI sector is creating opportunities for emerging countries with reserves of critical minerals. Although the export of these materials currently has a modest impact on their economic growth, these countries have a strategic advantage in forging partnerships, attracting foreign investment, developing new mining projects and capitalising on the expansion of AI. The environmental challenge will also pose a significant hurdle for these countries (*see notes on Argentina, Brazil and Chile, pages 23, 25, 27*).

CENTRAL EUROPE AND THE GULF COUNTRIES: AMBITIOUS PLANS

At first glance, Central European countries may not seem to have any comparative advantages in AI supply chains. However, they do have a well-educated workforce and infrastructure that will facilitate the integration of AI throughout the economy and its adoption by the populace. Furthermore, the governments of Central European countries are not shying away from launching ambitious plans aimed at using AI as a catalyst for development (*see notes on Poland and Hungary, pages 17 & 19*). These plans are based on several components: defining a strategy and ambitious medium-term objectives; providing public support for businesses to innovate, invest and adopt AI; constructing data centres (essential for the local development of AI); incorporating relevant training into education programmes; and adjusting regulations accordingly.

The Gulf countries have also drawn up highly ambitious plans. Saudi Arabia, for example, aims to develop the entire AI value chain and become a global leader in this sector within a few years (*see page 31*). The Gulf countries enjoy major comparative advantages: abundant, cheap energy and vast desert areas, which allow for the establishment of large data centres at relatively low cost. Energy is mainly carbon-based, but the number of solar projects is increasing. In addition, governments are able to mobilise large sums of money from sovereign wealth funds to finance technology partnerships and infrastructure, as well as to invest in education. Political will, natural resources and available capital are factors that favour the development of AI hubs in the region.

Article completed on 27 February 2026

Christine PELTIER
christine.peltier@bnpparibas.com
with the help of Clara Ngo Ba Do (intern)

6 See BNP Paribas, EcoInsight, European Union: low-carbon transition and energy sovereignty, a path fraught with pitfalls, February 2026.

THE ENERGY FACTOR: A CONSTRAINT ON AI DEVELOPMENT IN EMERGING COUNTRIES

The development of artificial intelligence (AI) depends largely on the availability of abundant and reliable electricity. The sector currently accounts for 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), where the vast majority of data centres are located. In contrast, this figure is less than 0.5% in the rest of the world, but is set to increase in the coming years. To attract investment in the AI sector, emerging countries must therefore consider significantly increasing their electricity generation capacity and establishing networks capable of continuously powering data centres. Massive investments in infrastructure, along with the use of flexible energy sources (gas, renewables), are assets for attracting AI projects. China, together with India, the Middle East and Eastern Europe, appear to have a better position.

AI ELECTRICITY CONSUMPTION: THE IMPORTANCE OF LOCATION

The availability of sufficient electricity and the ability to transport it are key factors in the establishment of local data centres, which are essential for the deployment and adoption of AI. Data centres are typically evaluated based on the electrical power required to operate them. Their energy consumption can exceed one gigawatt or GW (by way of comparison, the average output of a reactor in the French nuclear fleet is 0.9 GW). More generally, in light of the rapid expansion of data centres in recent years, the issue of facility location is of paramount importance. The growth of the sector depends – in addition to the availability of electricity – on a favourable combination of factors primarily associated with the presence of adequate skills, developed technological infrastructure, and political will. These conditions regarding location and the rapid growth of AI are resulting in a significant geographical concentration of development hubs, which is exerting considerable pressure on local electricity markets in many countries. This is fuelling sharp rises in electricity prices, especially in certain US states[1], and may even lead to moratoriums on the future establishment of data centres. In Ireland and the Netherlands, for example, the establishment of new data centres has been suspended (until 2028 in Ireland).

In 2025, 82% of global AI application development capacity, measured in terms of electricity consumption, was concentrated in the United States, the European Union and China. This trend towards geographical concentration is expected to continue, with around 85% of the new capacity expected by 2030 to be located in these three regions, according to the International Energy Agency (IEA). Approximately two-thirds of new projects are being planned in regions where clusters already exist. In China, the electricity consumption of data centres has increased by 15% per year over the last decade, which is double the annual growth rate of other sectors of the economy. The consumption of these centres is currently equivalent to that of the country's electric vehicle fleet.

The predominance of advanced economies and China in terms of installed capacity leaves little room for emerging countries in this AI landscape. As a result, the impact of AI development on the electricity markets of emerging countries remains marginal. While the sector accounts for around 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), this figure is less than 0.5% in the rest of the world. This very low figure is not surprising, as the increase in electricity demand in emerging and developing countries is mainly driven by industrial development and improving living standards. This is particularly evident in the huge rise in electricity demand for air conditioning, set against a backdrop of rising average temperatures.

CHINA DRIVING THE INCREASE IN ELECTRICITY PRODUCTION CAPACITY

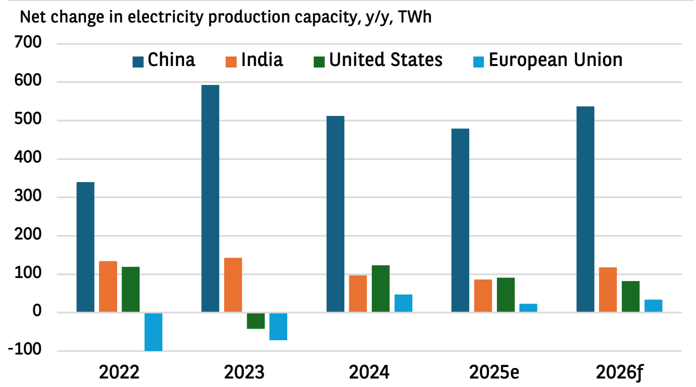


CHART 1 SOURCE: AIE

Nevertheless, even if it remains relatively concentrated in specific geographic regions, the impact of AI on national electricity systems is set to increase. According to the IEA, the development of AI accounted for 4.4% of the increase in electricity demand between 2020 and 2025. This figure is projected to increase to 8.6% during the period 2025-2030. However, this will still be lower than the expected contribution from the growth in demand associated with air conditioning on a global scale (around 10% by 2030).

IN EMERGING COUNTRIES, WHAT ENERGY COMPETITIVENESS CRITERIA SHOULD BE USED TO FOSTER THE DEVELOPMENT OF AI?

- **The expected increase in electrical capacity and/or the availability of abundant energy**

The demand for electricity driven by AI is likely to compete with other sources of demand, even though it is currently growing at a slower pace. In this scenario, countries and regions that invest heavily in energy production capacity, as well as those with abundant energy resources, will be best placed to meet the energy needs of AI. China has a decisive advantage in this regard, owing to the significant increase in its energy production capacity in recent years (*Chart 1*). According to BloombergNEF, China has installed more new energy capacity in the past four years than the total capacity installed in the United States (1,515 GW versus 1,373 GW).

1 See Ecoweek, Electricity prices in the United States: an economic and electoral issue in the run-up to the midterms, 10 February 2026.

Similarly, the new capacity installed in 2025 exceeds that the total available in India. The increase in Chinese production capacity is expected to remain substantial, growing by around 4% per year between now and 2030.

For various reasons, the Middle East also has certain advantages, notably its abundant, flexible and rapidly mobilisable carbon-based energy. Indeed, given the importance of continuous energy availability for the operation of AI systems, the controllability (i.e. flexibility) of the energy supply is crucial. The gas resources of all the Gulf countries are a major asset. Apart from Qatar and, to a lesser extent, the United Arab Emirates, which export part of their gas output, a large proportion of gas resources remains unexploited. Saudi Arabia, for example, aims to develop the use of these resources for domestic consumption in order to reduce the share of oil in its electricity mix.

Another example is India, whose electricity mix is still predominantly carbon-based and largely reliant on coal (74%), yet it aims to significantly increase the share of renewable energy sources. By 2030, this share is projected to increase to around 27% of the mix (compared to 20% currently). At the same time, the total capacity of installed data centres is expected to double to nearly 5 GW. More generally, India's production capacity is expected to grow at a sustained average rate of 4.8% between now and 2030. However, these ambitions can only be realised if the electricity grid is developed alongside.

- **Necessary investment in the electricity grid**

The need to invest in improving electricity grids is a global issue due to the growing electrification of various applications and the structurally more decentralised nature of renewable energy production. The development of AI aligns perfectly with this issue. Indeed, it is responsible for a sharp increase in electricity consumption, which in many countries is expected to be bolstered by an increase in renewable energy production capacity.

There is currently no satisfactory measure to assess how effectively national electricity grids are adapting to new demands. The SAIDI (System Average Interruption Duration Index) metric, calculated by the World Bank, assesses the reliability of the grid for its users (*Chart 2*). This represents a national average that does not provide information on the capacity to deliver sufficient quantities of electricity. However, it is an important indicator for the operation of data centres, which must remain free of power cuts. Among emerging countries, China, the Middle East and Eastern Europe have the highest reliability, whereas sub-Saharan Africa has the longest power outages. Asia (excluding China) and Latin America occupy a middle ground.

Investment in network expansion and improvement is primarily led by advanced economies and China, which together accounted for 80% of total global investment in 2024, according to the IEA. Chinese investment accounted for around 20% of the total. In addition, major investment plans are under way in certain Latin American countries (Brazil, Chile) and India (USD 110 billion in investments planned between now and 2032).

MORE RELIABLE ELECTRICITY GRIDS IN CHINA, THE MIDDLE EAST AND EASTERN EUROPE

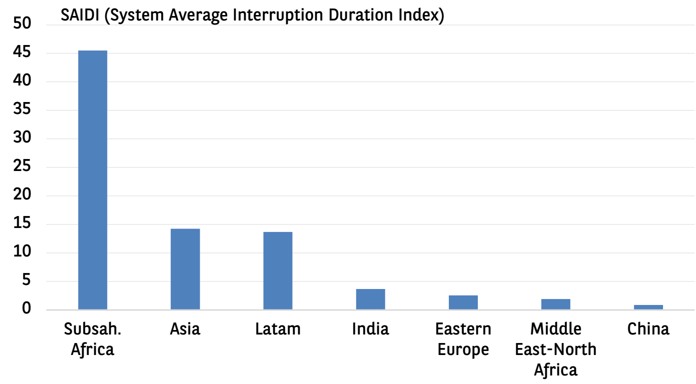


CHART 2

SOURCE: WORLD BANK

While electricity is essential for the deployment of AI, the necessary investments in energy infrastructure could also benefit the economic development of the countries concerned. Given the energy-intensive nature of AI and its rapid expansion, it is becoming increasingly urgent to step up the deployment of low-carbon energy sources to ensure that the rise of AI and decarbonisation can coexist harmoniously.

Article completd on 27 February 2026

Pascal Devaux
pascal.devaux@bnpparibas.com

REGIONAL OVERVIEWS

Article completed on 27 February 2026

CENTRAL EUROPE: GAINING MOMENTUM

In Central Europe, economic growth accelerated slightly to 2.3% for 2025 as a whole, after recording 1.9% in 2024 and 0.7% in 2023. This growth was driven by the dynamism of the Polish economy (+3.6% in 2025) and the Czech economy (+2.5%). The Czech economy demonstrated unexpected resilience, given its significant reliance on foreign trade and the automotive sector. Conversely, Hungarian growth was disappointing, with only marginal positive growth in 2025. Romania faced electoral uncertainties in the first half of 2025 and the introduction of fiscal austerity measures in the second half.

The growth outlook remains favourable for 2026 (2.7% according to our forecasts), with Poland continuing to drive growth. Furthermore, the electoral uncertainties in Hungary and Bulgaria are not expected to hurt their growth markedly. The expected uptick in the Hungarian economy will be partly based on pre-election measures taken by the authorities to support consumption. Bulgaria, which joined the Eurozone in January 2026, should also record robust growth. Meanwhile, growth in Romania is expected to be modest, held back by an ongoing restrictive fiscal policy.

Inflation returned to target levels in 2025 for Poland, Hungary and the Czech Republic. In 2026, it is expected to continue declining across the region. However, in Romania and Slovakia, inflation may remain above the central bank's target. The monetary easing cycle that began last year is set to continue in Poland and the Czech Republic, albeit at a more moderate pace. In Hungary and Romania, only very cautious easing measures are expected this year. In Hungary, the gap between households' inflation expectations and current inflation calls for a cautious approach, while in Romania, inflationary pressures continue to be a concern.

Central European exports held up well in 2025, driven by Poland, the Czech Republic, Slovakia and Romania. Hungary and the Czech Republic have current account surpluses. Conversely, Romania has been grappling with a significant current account deficit for years, a situation that is not expected to change. In Poland, the current account deficit is marginal (less than 1% of GDP in 2025) and is expected to remain so in the short term.

However, external liquidity in the region is strong, with foreign exchange reserves continuing to rise (EUR 563.9 bn, or EUR +37.9 bn in 2025). Central Europe is attracting foreign investment owing to nearshoring activities and rapidly developing sectors such as AI and defence. In addition, bond yields remain attractive. Despite the tariff shock and geopolitical uncertainties, capital flows to the region remained steady in 2025, with a relatively balanced distribution between FDI and portfolio investment flows (totalling EUR 36.4 bn in Q1-Q3 2025, or 1.7% of regional GDP). FDI flows mainly benefited Poland, Romania and the Czech Republic, while Hungary and Slovakia experienced negative flows. Portfolio investment flows were driven primarily by Poland and Romania, with Hungary contributing to a lesser extent. Romania stood out with a spectacular rebound in portfolio investment inflows over the past three years.

Cynthia KALASOPATAN ANTOINE
cynthia.kalasopatanantoine@bnpparibas.com

ASIA: STRONG PERFORMANCE

In 2025, economic growth in Asia weathered the rise in US tariffs much better than expected. It even accelerated to 7.6% in India and jumped to 8% in Vietnam and 8.7% in Taiwan. Growth averaged 5% for the ASEAN-6 (vs. 5.1% in 2024) and remained steady at 5% in China. South Korea and Thailand lagged behind, with economic growth rates of 0.9% and 2.4% respectively.

The region's export performance was very strong, boosted in particular by increased demand for electronic products linked to the AI boom. The ASEAN-6's share of the global market increased slightly, and this increase was most pronounced in the US market. Consequently, the trade surplus of ASEAN countries with the United States increased by USD 8.9 bn (to USD 25 bn), while their deficit with China widened by USD 10.4 bn (to USD 18.2 bn).

Domestic demand was also a key driver of activity in Southeast Asia and India, supported by expansionary fiscal and monetary policies. Conversely, in China, weak consumer demand and private investment worsened in the last few months of the year, and support measures from the authorities remained limited.

India and Indonesia recorded significant net outflows of portfolio investments at the end of the year, while FDI inflows slowed across the region as a whole. The Thai baht and the Malaysian ringgit appreciated by 10% against the USD in 2025, while the currencies of India and Indonesia depreciated by 5% and 3% respectively. In 2025, China consolidated its position as a net external creditor, bolstered by rising current account surpluses, although foreign capital inflows remained constrained. The yuan has appreciated slightly in recent months but remains at a very low level. At the end of 2025, the RMB/USD reference rate was 2% lower than it was at the end of 2024, and the CFETS index (effective exchange rate) was down 4%.

In 2026, growth is expected to slow moderately. The cycle of interest rate cuts has concluded in most countries. Inflation is expected to stay within the targets set by the monetary authorities, making it unlikely for them to raise their key rates. Fiscal policies are likely to become somewhat more restrictive. The main risks to short-term growth are external, linked to geopolitical risks, ongoing uncertainties over US trade policy and the risk of a downturn in the global electronics market. In India, rising oil prices could weigh on economic performance, particularly if the country halts its oil purchases from Russia. In Indonesia, the Prabowo administration is raising concerns about its governance, its less orthodox fiscal policy compared to its predecessor, and the lack of clarity surrounding its economic strategy.

Johanna MELKA
johanna.melka@bnpparibas.com

Christine PELTIER
christine.peltier@bnpparibas.com

REGIONAL OVERVIEWS

Article completed on 27 February 2026

NORTH AFRICA/MIDDLE EAST: VULNERABLE TO GEOPOLITICAL RISKS

The economies of North Africa/Middle East saw a rebound in growth in 2025. It reached 3.4% compared with 2.5% in 2024. Regional GDP is expected to grow by 4.1% in 2026.

The Gulf Cooperation Council (GCC) is expected to remain the main driver of regional growth, thanks to oil exports and strong domestic demand. These countries' ability to finance their diversification programmes remains strong, primarily due to sovereign wealth funds, whose assets exceed twice the GDP of the GCC. Furthermore, the region's enhanced appeal to foreign capital (debt and direct investment) largely mitigates the impact of reduced oil export revenues, thereby averting the need for governments to make drastic cuts to public spending. The ongoing recalibration of Saudi Arabia's Vision 2030 initiative is a good illustration of this. Inflation is also under control, and policy rate cuts in Q4 2025 are expected to bolster credit demand, which is already strong in several countries. The depreciation of the US dollar, to which the GCC currencies are pegged, should help these countries to develop their non-hydrocarbon exports and tourism sector.

For oil-importing countries, economic growth is also sustained, thanks to the strong performance of Egypt and Morocco. With minimal exposure to the tightening of US tariff policy, both countries are reaping the benefits of a rebound in tourism and investment. The scale of infrastructure projects currently underway in Morocco, along with the macroeconomic stabilisation efforts in Egypt, suggest that this momentum is likely to continue in 2026.

Rising regional tensions are a major cause for concern. So far, the impact on countries not directly involved in a conflict has been limited. However, the situation in Iran presents a potentially greater threat. It could lead to various outcomes in the event of US military attacks, including the closure of the Strait of Hormuz, through which almost all trade from the GCC countries passes. Given the region's importance in the global energy market, the repercussions would extend beyond the Middle East.

Stéphane ALBY
stephane.alby@bnpparibas.com

SUB-SAHARAN AFRICA: ENCOURAGING OUTLOOK

The economic outlook for the region has been positively adjusted in recent months. Real GDP growth is estimated at 4.4% in 2025 and is projected to stabilise at 4.6% in 2026. Overall, sub-Saharan Africa has been resilient in the face of the double shock of US tariffs and declining official development assistance. This decline is mainly due to a significant drop in USAID funding (data available as of 16 February indicate a 28% decrease in USAID disbursements in value terms in 2025). Inflation eased in 2025 after two years of intense pressure, and this decline is expected to continue in 2026, enabling some economies to continue their cycle of monetary easing (notably South Africa, Kenya and Nigeria).

The prices of non-oil commodities exported by the continent (including gold, copper, energy transition minerals and platinum) are expected to remain buoyant in 2026. The current account deficit for the region is expected to remain manageable, despite a rise in import growth, particularly from China. Meanwhile, the external accounts of the CEMAC zone countries, where oil accounts for the vast majority of exports, will need to be monitored: the widening of the zone's current account deficit in 2026 is likely to affect foreign exchange reserves, which have already contracted by 13% in 2025.

In addition, developments in external financing sources are causing some concern. According to UNCTAD, in 2025, foreign direct investment received by sub-Saharan Africa (USD 42 bn) contracted by more than 6%. With the rise of AI, which is capturing an increasing share of global capital flows, sub-Saharan Africa risks being further marginalised from FDI unless it increases its integration into value chains and promptly adopts a sectoral strategy for its regional deployment.

LUCAS PLÉ
lucas.ple@bnpparibas.com

LATIN AMERICA: SLOW GROWTH

In 2025, Latin American countries experienced slower growth, from nearly 3% y/y in H1 to less than 2% in H2. The rise in US customs tariffs does not seem to be the underlying factor; on the contrary, exports accelerated sharply in H2, and not only because of soaring metal prices (copper, aluminium) and rising prices for certain agricultural commodities (soya, maize). Brazil's exports of manufactured goods, despite being heavily taxed, also performed well. The notable increase in Mexico's exports is partially attributed to the AI boom.

Growth in the region is being held back by weak domestic demand due to diminished disinflation benefits, deteriorating labour markets (Argentina) and limited fiscal flexibility (Brazil, Mexico, Argentina). Central banks have kept key interest rates high in real terms: this is evident in Brazil, but also in Colombia and Mexico, where real rates exceed potential growth.

Growth in the region is expected to slow in 2026. For the main countries (Argentina, Brazil, Chile, Colombia, Mexico and Peru), it is expected to slow to an annual average of 1.8%, compared with an estimated 2.3% in 2025. Domestic demand is projected to remain constrained. The cycle of monetary easing is coming to an end in Mexico and Chile. Only Brazil retains some flexibility regarding monetary policy; the central bank is expected to begin a cycle of easing in March. Fiscal policy will remain restrictive in Argentina, and in several other countries, increasing debt ratios or debt servicing requirements will necessitate adjustment measures. A decline in copper prices poses a downside risk for Chile and Peru. Elections are a potential source of financial instability for Colombia (with parliamentary elections in March and presidential elections in May), and Brazil (with general elections in October).

With the exception of Peru, the main countries have a current account deficit (moderate as a % of GDP). The highest deficit – that of Brazil – is expected to represent only 3% of GDP in 2025. With the exception of Argentina, net FDI inflows in each of these countries cover at least 70% of the current account deficit. Apart from Colombia, portfolio investment balances are in deficit, which does not mean that these countries no longer attract non-resident investors. Rather, it indicates that residents are diversifying their portfolios. With the exception of Peru, currencies have appreciated against the US dollar since early 2026. Colombia presents higher market risks than the other countries due to the sharp deterioration in its public finances.

François FAURE
francois.faure@bnpparibas.com

KEY INDICATORS

REAL GDP

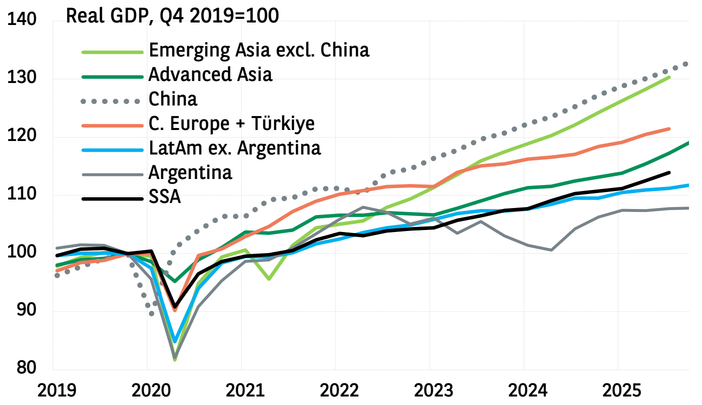


CHART 1 SOURCE: MACROBOND, BNP PARIBAS

INFLATION

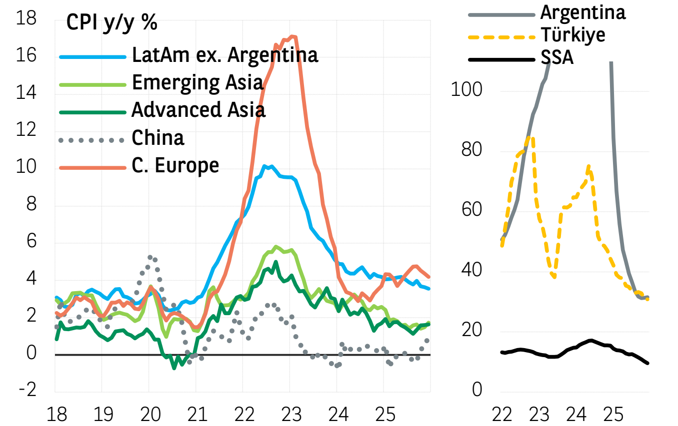


CHART 2 SOURCE: MACROBOND, BNP PARIBAS

DOMESTIC BANK CREDIT

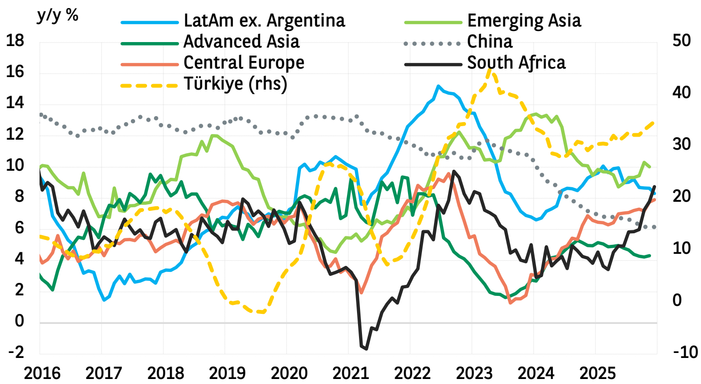


CHART 3 SOURCE: CENTRAL BANKS, BNP PARIBAS

CURRENT ACCOUNT BALANCE

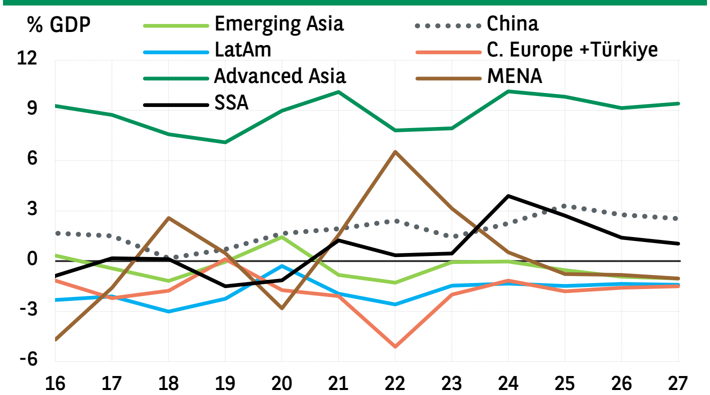


CHART 4 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT NET BALANCE

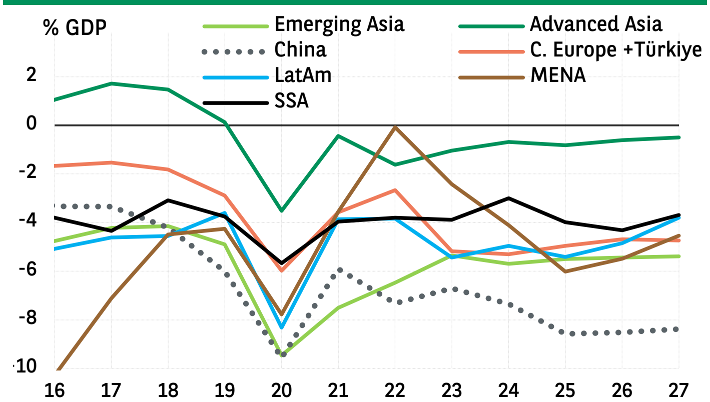


CHART 5 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT GROSS DEBT

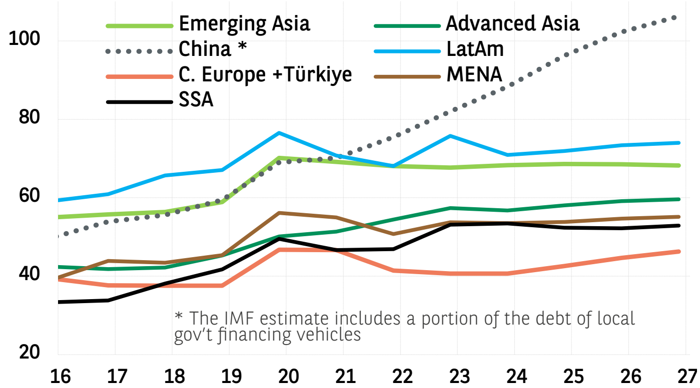


CHART 6 SOURCE: IMF (WEO), BNP PARIBAS

Emerging Asia: India, Indonesia, Malaysia, Philippines, Thailand, Vietnam **Advanced Asia:** Hong Kong, Singapore, South Korea, Taiwan **Central Europe:** Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia **Latin America:** Argentina, Brazil, Chile, Colombia, Mexico, Peru **MENA:** Middle East-North Africa **SSA :** Sub-Saharan Africa: Angola, Kenya, Nigeria, South Africa.

CHINA

INNOVATION AND AI DRIVING ECONOMIC DEVELOPMENT

China's economic growth model is based on imbalances, characterised by sluggish domestic demand, excess production capacities, strong exports and the pursuit of self-sufficiency, which have implications for its trading partners. While the IMF has recently reiterated the urgent need to boost private consumption, Beijing continues to give the priority to industrial policy and maintains moderately accommodative fiscal and monetary policies. It places cutting-edge sectors, innovation, AI and technological autonomy at the heart of its development strategy. This strategy aims to foster productivity gains and economic growth, while also consolidating China's dominance in global industry and its commitment to "national security".

GROWTH (INCREASINGLY) DEPENDENT ON EXPORTS

Chinese economic growth held steady at 5% in 2025, the same as in 2024. Quarterly data indicates a slight upturn in Q4 (+1.2% q/q), driven by exports. The imbalances inherent in the growth model have, in fact, intensified since last summer and are expected to continue in 2026.

On the domestic demand front, signs of weakness have worsened, with total investment contracting and household consumption remaining sluggish.

Real estate investment has been declining steadily for four years, while investment by local governments has been constrained by shrinking land sales proceeds and tighter fiscal management rules imposed by Beijing. In the manufacturing sector, companies have been scaling back their investments in recent months as a result of a deteriorating demand outlook, low capacity utilisation rates (averaging 75.2% in Q4), falling prices and profits, and the government's anti-involution directives aimed specifically at reducing production overcapacity. Consequently, the contribution of total investment to real GDP growth reached a record low in 2025 (Chart 1). It could recover slightly in 2026: although the decline in real estate investment is expected to continue (with unsold inventories remaining high), manufacturing investment could see an uptick in "strategic" sectors, spurred on by government policies.

As far as consumers are concerned, the impact of government support diminished in H2 2025, and retail sales growth slowed (from 4.7% y/y in real terms in June to just 0.1% in December). However, this was offset in Q4 by a recovery in demand for services, which was also boosted by fiscal measures. Total consumption (both private and public) saw a slight increase in its contribution to growth in 2025, but it is less vigorous than before the Covid pandemic. Its average growth was estimated at between 4% and 4.5% per year in real terms in 2024-2025, compared with 7.7% during the period of 2015-2019. The short-term outlook is uncertain, still overshadowed by the property crisis, a lack of dynamism in the labour market and low household confidence. Public policies aimed at durably boosting private consumption are likely to remain insufficient.

RECORD HIGH SURPLUSES IN THE TRADE AND CURRENT ACCOUNT BALANCES

On the external demand front, growth in merchandise exports remained robust until the end of the year. The decline in sales to the United States since April (-23% y/y) was more than offset by an increase in exports to other regions of the world, bolstered by the strong price and non-price competitiveness of Chinese goods. The yuan's real effective exchange rate (REER), which was already weak in 2024, lowered further in 2025 (it depreciated by 5.8% in H1, and then appreciated by 3.6% in H2). The average REER index in 2024-2025 was about 10% below its average for the previous five years (based on BIS data). The average export price in USD fell by -2.9% in 2025, following a -6.8% decline in 2024. In volume terms, exports rose by +9% in 2025 (+12% in 2024), while imports remained virtually unchanged (after a +2% rise in 2024), reflecting sluggish domestic demand and Beijing's self-sufficiency targets.

Consequently, on the one hand, the contribution of net exports to growth, which had rebounded strongly in 2024, strengthened further. In 2025, it accounted for one-third of real GDP growth, the highest share since the early 2000s. On the other hand, China's trade surplus

FORECASTS

	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.4	5.0	5.0	4.7	4.5
Inflation, CPI, year average, %	0.2	0.2	0.0	0.9	1.0
Official budget balance / GDP, %	-3.8	-3.0	-4.0	-4.3	-4.0
Official general government debt / GDP, %	54.7	60.9	68.4	74.5	77.4
Current account balance / GDP, %	1.4	2.3	3.8	3.6	3.3
External debt / GDP, %	13.4	12.9	12.3	11.3	10.5
Forex reserves, USD bn	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	13.3	12.7	13.9	13.8	13.5

TABLE 1 e: ESTIMATES & FORECASTS
SOURCE: BNP PARIBAS ECONOMIC RESEARCH

CHINA: EXPORTS REMAIN A KEY DRIVER OF GROWTH

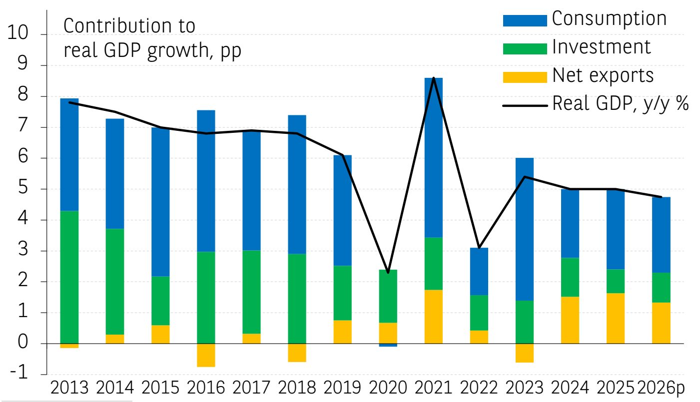


CHART 1 SOURCE: NBS, CEIC, BNP PARIBAS

increased by 20% in 2025 and reached a record high of USD1189 bn (based on General Administration of Customs data). The current account surplus also expanded significantly, rising from USD424 bn in 2024 to USD735 bn in 2025. It exceeded 3% of GDP for the first time in fifteen years (3.8%).

These recent dynamics have strengthened China's position as a global export power. They have also allowed China to increase its investment overseas (including direct investment, credit and portfolio investment flows) and strengthened its position as a net foreign creditor. Large trade imbalances, the risk of a persistent competitive pressure from Chinese goods, and the stagnation of Chinese imports are expected to continue to fuel severe tensions with most trade partners, including Europe.

DEFLATIONARY PRESSURES, A SYMPTOM OF IMBALANCES

Weak domestic demand and excess production capacities are fuelling deflationary pressures as well as competitive pressures of Chinese goods on export markets. CPI inflation did pick up slightly in Q4 (to +0.6% y/y vs. an average of -0.1% over the first nine months of 2025) and core inflation rose back above +1%. However, these developments are mainly due to temporary factors and the anti-inflation campaign. The latter is likely to remain modest, especially if the authorities revise their production reduction targets for fear of negative effects on growth. Without a resurgence in demand, the alleviation of deflationary pressures will remain limited in the short term.

MONETARY AND FISCAL SUPPORT REMAINS MODERATE IN 2026

Recent statements from Beijing indicate a degree of confidence in the economy's growth prospects – confidence reinforced by the recent reduction in US tariffs[1]. At the annual session of the National People's Congress (NPC) from 5 to 11 March, Beijing is expected to announce its growth target (expected to be 4.5%-5%) and inflation target (expected to be capped at 2%) for 2026, and is likely to affirm its commitment to a moderately accommodative economic policy.

On the monetary front, new measures are likely to be implemented in the very short term in response to the ongoing slowdown in domestic credit growth. This is being held back in particular by the near stagnation in outstanding household loans (+0.4% y/y at the end of 2025, with a 1% contraction in housing loans). In 2026, as in 2025, easing measures will remain cautious and targeted, with, in particular, a slight reduction in policy rates (-20bp expected over the year).

On the fiscal front, the "official" deficit target may be raised (4.3% of GDP projected for 2026, up from 4% in 2025), signalling increased support for growth. However, support from extra-budgetary entities (such as local government financing vehicles) is expected to continue to decline. With regard to the property sector, no new support measures (aside from the purchase of unsold homes by local governments and the relaxation of rules governing home loans and purchases) are expected this year.

Beijing is set to release the full text of the 15th Five-Year Plan for 2026-2030 at the end of the NPC meeting. The Plan's main economic objectives are well known; in particular, they aim to strengthen a "modern industrial system", global leadership and technological autonomy, as well as strengthening the domestic market. With regard to the latter, the authorities are keeping the development of private consumption high on their list of priorities. However, they are not contemplating the far-reaching reforms needed to significantly improve incomes and

CHINA LEADS THE RACE FOR LARGE AI MODELS ALONGSIDE THE US

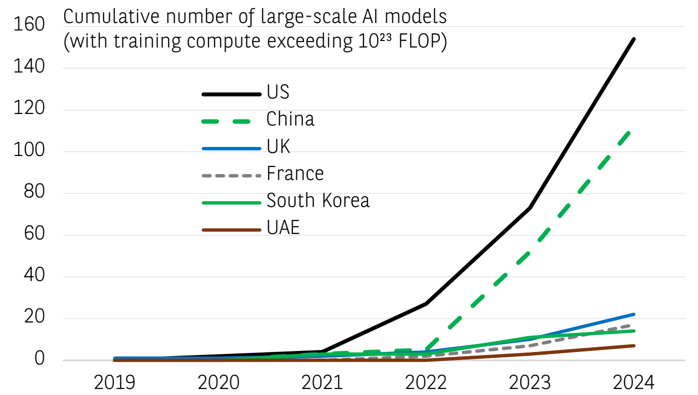


CHART 2 SOURCE: EPOCH AI (2025) – WITH MAJOR PROCESSING BY OUR WORLD IN DATA, BNP PARIBAS

the social protection system. The assistance programmes introduced in 2025, which include subsidies for the replacement of consumer goods, allowances for parents of young children, and pension increases, could simply be extended in 2026. These programmes account for less than 0.5% of GDP, and their impact has been small. In 2025, household consumption accounted for just 40% of GDP (compared to an average of 57% worldwide), and the household savings rate remained very high (estimated at 37% of disposable income, and 35% in 2019).

INNOVATION AND AI AT THE HEART OF THE NEW FIVE-YEAR PLAN

Instead of focusing on the domestic market and consumers, China's strategy will continue to prioritise the export manufacturing sector, green energy and advanced technologies. Industrial policy will remain a key tool, and exports will continue to serve as both a vital growth engine and a strategic asset for China in its rivalry with the United States and its quest for global dominance in strategic sectors. R&D, innovation and artificial intelligence (AI) play a central role in this strategy. The "AI+" initiative, unveiled last August, reaffirmed these objectives, and the 15th Five-Year Plan is expected to underscore the significance of AI in developing "new quality productive forces".

Internationally, China occupies a dominant position in the AI sector (see the Editorial in this issue of EcoPerspectives). China is involved in nearly the entire AI value chain and is developing some of the most powerful computing models (Chart 2). In the AI supply chain, China accounts for 21% of the total "AI-related goods" exported worldwide and controls the supply of critical materials. On the domestic front, AI development and widespread deployment across the country should boost productivity gains and foster growth. Thanks to its highly developed digital infrastructure, its own LLM models and its education system, the country is well-positioned to adopt AI. China therefore has the strategy, infrastructure, energy resources, critical materials and capital to pursue the development of AI in the next five years.

Article completed on 27 February 2026

Christine Peltier
christine.peltier@bnpparibas.com

1 Since 24 February, the US tariffs imposed on China, which previously included "reciprocal" tariffs of 10% (with exemptions) and "fentanyl" tariffs of 10% (without exemptions), have been replaced by the new 10% tax (with exemptions). The effective tariff on US imports of Chinese goods has thus been lowered (to 19% from 31%) and is now more aligned with those of neighbouring countries (e.g. 13% for Vietnam).

ECOINSIGHT

Issue 15

6 March 2026

“ The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. In most scenarios, there would be at least a temporary adverse impact. ”

ECONOMIC RESEARCH

BNP PARIBAS

The bank for a changing world

WAR IN THE MIDDLE EAST: FIRST ASSESSMENT OF THE MACROECONOMIC DAMAGE

The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. Three types of scenarios are plausible: 1) a return to the status quo ante on the hydrocarbon market after a few weeks; 2) a prolonged period of political uncertainty in Iran leading to a relatively modest, but sustained, rise in oil and gas prices; 3) acute and sustained tensions over oil and gas supplies. The latter two scenarios would constitute a stagflationary shock, i.e. one that slows growth and increases inflation. Fortunately, growth was generally robust on the eve of the shock. In addition, inflation was on track to be brought under control, or even better, allowing central banks not to rush to react. Consequently, even in adverse scenarios, growth would slow significantly but remain positive, and major central banks would be forced to tighten their current stance only in the hypothesis of the most severe scenario. Nevertheless, given the latent fragilities in financial markets, which were already apparent in the weeks leading up to this major geopolitical shock, the utmost caution is warranted. This EcoInsight analyses the impact of the various scenarios, first on energy prices and then on inflation, growth, central bank policies and exchange rates, for the main advanced and emerging economies.

AN ENERGY SHOCK LIKELY TO BE LESS SEVERE THAN IN 2022

The reaction of oil and gas prices following the outbreak of war in Iran has, so far, been significantly more moderate than in 2022: at their peak, Brent oil prices rose by USD 15/barrel (+20%) to USD 85/barrel, and European gas prices (TTF) rose by EUR 21 (+65%) from EUR 32 to EUR 53/MWh (compared to USD 123 and EUR 240 in 2022). This reflects, on the one hand, the fact that, unlike the global supply shortage that prevailed in 2022 (when the global economy was in full post-COVID recovery mode), on the eve of the conflict in Iran, the oil and gas markets were in a phase of supply growth exceeding demand, and therefore of structural downward pressure on prices. On the other hand, the market seems to view the current shock as less structural. In fact, as Iran was already subject to heavy sanctions on the eve of the conflict, there is no parallel with the European Union's decision in 2022 to wean itself off Russian supplies, on which it was heavily dependent at the time. Nevertheless, the outcome of the conflict in the Middle East is highly uncertain.

In most scenarios, there would be at least a temporary impact. There is still a possibility of a rapid de-escalation that would bring us back to the baseline scenario within a few weeks, but it is rapidly diminishing. On the other hand, the likelihood of a more adverse scenario is increasing[1].

Scenario 1: De-escalation

The conflict subsides and maritime traffic returns to normal, allowing oil and gas prices to quickly return to their initial levels. However, the TTF would peak at around EUR 50/MWh in Q2 2026 due to the halt in production in Qatar. Oil prices would then stabilise at around USD 60-65/barrel and gas at around EUR 25-30/MWh.

Scenario 2: Prolonged uncertainty

Oil prices would initially remain around current levels, then gradually fall by the summer. They would remain higher than in the de-escalation scenario (around USD 70/barrel) for a sustained period. The TTF would peak at around EUR 50/MWh in Q2, as in our de-escalation scenario. Stronger supply constraints would also materialise due to a decline in production in Iran linked to instability in the country.

Scenario 3: An escalation with a sustained de facto blockade of the Strait of Hormuz

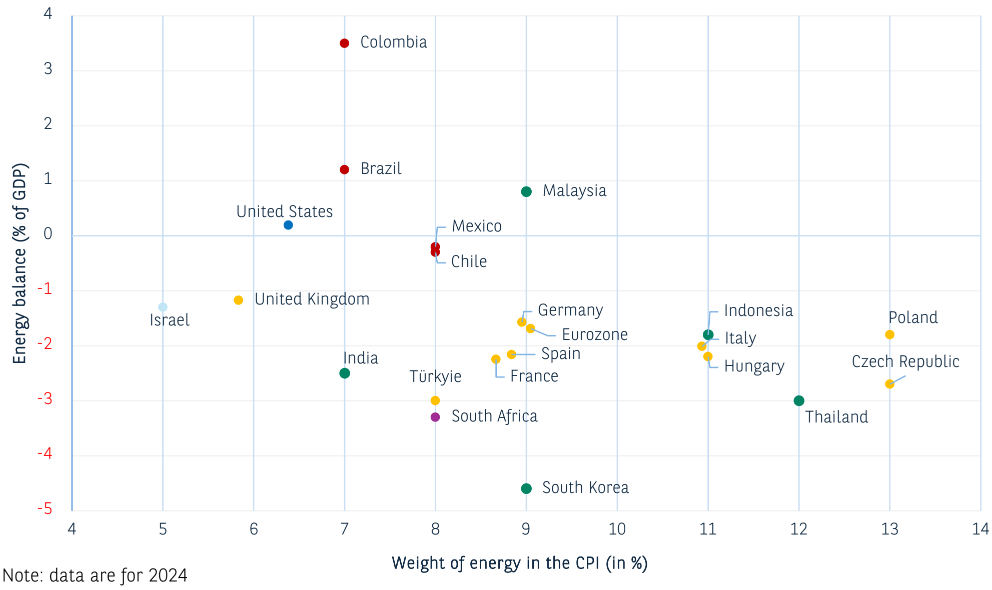
An escalation with a sustained de facto blockade of the Strait of Hormuz. In Q2, Brent would average USD 100/barrel (peaking at USD 130/b) and the European TTF would average EUR 100/MWh, then converge towards Scenario 2 after 3 to 6 months.

A NEGATIVE MACROECONOMIC IMPACT, BUT OF VARYING MAGNITUDE ACROSS COUNTRIES

Countries' exposure to energy shocks depends mainly on two factors: the weight of energy in price indices and the energy balance (Chart 1). The rise in energy prices impacts inflation and interest rates, and through this channel, consumption and investment. External accounts are also impacted. On this basis, Europe and Asia appear as the two most vulnerable regions. However, their macroeconomic fundamentals are sufficiently strong to absorb the anticipated rise in energy prices. Latin American countries appear, a priori, the least vulnerable to the energy price shock. However, their macroeconomic fundamentals and position in the cycle are weaker than in the other regions.

1 For the Eurozone, the risk associated with LNG is greater than that associated with oil. Even without significant destruction of LNG facilities, the market would be structurally tighter due to limited global stocks (particularly in Asia, where Qatar is a major supplier) and very low stocks in Europe. Furthermore, unlike oil, there is no alternative to Qatari LNG (around 20% of global production) in the short term, as other LNG exporters are already operating at almost full capacity. In the event of a prolonged closure of the Strait of Hormuz, the Asian market would compete with the European market for available LNG. Furthermore, even if the conflict were relatively short-lived, the spring-autumn period is when stocks are replenished in Europe, which would maintain some pressure on prices in Europe. Finally, Europe is the importing region that is most dependent on the spot market for its LNG supply, i.e. the gap between demand and supply negotiated through contracts with producers is greatest there.

COUNTRIES' EXPOSURE TO AN ENERGY SHOCK



Note: data are for 2024

CHART 1

SOURCE: UNCOMTRADE, NATIONAL STATS OFFICES

INFLATION TO ACCELERATE QUICKLY, BUT LESS THAN IN 2022

In the Eurozone, fuel prices are already on the rise. However, the impact of higher energy prices on headline inflation depends on whether the shock is permanent or transitory, and on how it transmits to core inflation (which itself depends on the economic context: whether the economy is overheating or has some slack, whether or not inflation expectations are well anchored to the target, whether there are other concurrent factors pushing inflation up or down, etc. Energy prices would rise in two stages: instantly for fuel, while gas and electricity prices would rise more gradually (and at different rates and to varying degrees across the various countries in the area, because of fixed-price contracts with variable revision dates and sometimes state regulations). Furthermore, the experience of 2022 shows that governments could intervene, either through taxation or subsidies, to counteract the rise in energy prices. Overall, in scenarios 1 and 2, the impact on prices would be significant but limited (around 0.5 percentage points at most). In addition, given an initial inflation level below the target and reasonably anchored expectations, it would not be necessary for the ECB to raise its interest rates. In contrast, in scenario 3, our estimates indicate that a barrel price peaking at $130 would generate an additional inflationary burden of 0.9pp on average in 2026 and 0.4pp in 2027 (the same estimate as the ECB's (December 2023). Under those circumstances, the ECB would probably deem it necessary to tighten policy in order to avoid second round effects act.

In the United States, the impact on inflation is expected to come mainly through higher fuel prices. Scenario 2 is associated with an increase in inflation of +0.3pp in 2026 and +0.15pp in 2027 (versus +0.6pp in 2026 and +0.5pp in 2027 in scenario 3). These estimates line up with those of Presno and Prestipino (FEDS Notes, 2024), who calculate that a 10% increase in the real price of oil leads to a +0.15pp rise in the headline CPI and a +0.06pp rise in core inflation in the first year. Consequently, the impact would be more modest than in the euro area, regardless of the scenario. The US economy benefits structurally from its position as a net exporter of hydrocarbons and from its independence in gas supplies, whose prices are not set at the global level like that of oil. In addition, the interaction with the tariff shock is a key point of attention, especially regarding firms' ability to avoid passing the entire price increases. Nevertheless, the level and trend of inflation on the eve of the shock were significantly less favourable than in the Eurozone (above target and deviating from it).

For emerging economies as a whole, if the oil shock does not spread to agricultural and food prices, its impact on inflation could also be limited. Most economies are in an intermediate phase of their business cycle – neither at the bottom nor at the top (output gaps are either moderately positive or moderately negative). The inflationary impacts should therefore not be amplified. In addition, exchange rate depreciations remain modest (around 1% on average and median against the USD since Friday 27 February 2026). The countries that would be most affected are, those already experiencing high inflation and/or those where the weight of energy in the CPI is highest (see Chart 1).

In the Europe-Africa region, this is the case, for example, for Türkiye, which also has one of the largest energy deficits. Its central bank estimates that a permanent 10% increase in oil prices would lead to an inflation surplus of around 1pp after a year, with half of that effect already materialising in the first quarter. For Poland, a more representative country among emerging net oil importers, an equivalent (+10%) increase would add 0.3pp to inflation. The same price rise would generate an additional 0.5 pp inflation increase in South Africa, whose currency has weakened by 3.7% against the US dollar since the conflict has begun.

In emerging Asia, part of the inflationary shock stemming from higher energy prices should be absorbed by government fuel subsidies, without however fragilizing public finances[1]. Thailand and Indonesia appear to be the two most vulnerable countries, given the weight of energy in their respective consumption baskets. However, in Thailand the ongoing disinflation process should dampen the expected inflationary impact. This will not be the case for Indonesia, where price rises have accelerated significantly since the beginning of the year (+4.8% y/y in February, above the Central Bank's target of 2.5% +/-1%). The Indonesian Central Bank could therefore raise its key rate if oil prices remain sustainably close to USD 80/barrel. By contrast, inflationary pressures resulting from a depreciation of local currencies should be very limited, as Asian currencies have held up fairly well since the start of the conflict.

A SIGNIFICANT IMPACT ON GROWTH, BUT MANAGEABLE WITHOUT A RECESSION

The Eurozone, a net energy importer, would be more affected than the United States and, within it, the most industrialised economies (Germany, Italy) and those where household confidence appears particularly sensitive to a resurgence of inflation (France). In our scenario 2 (prolonged uncertainty), we anticipate a negative impact on growth of around 0.2pp in 2026 and 2027 (each) compared to our baseline scenario. In scenario 3 (escalation of tensions), we anticipate a larger effect, with a decline of 0.5pp in 2026 and 0.7pp in 2027. Nevertheless, the growth levers expected in the Eurozone (such as the European rearmament plans and investment programmes in Germany) should soften part of the shock, albeit with a lower multiplier than initially factored in. The literature (ECB, December 2023) highlights that a Brent price of USD 130/bbl would reduce growth by 0.7pp in the first year and 0.3pp in the following year. The main transmission channel would be uncertainty and a decline in purchasing power. It would directly affect investment (a 1% increase in energy prices due to oil shocks leads to a 4.1% decline in investment spending, according to the ECB, 2024) and household consumption (especially of durable goods, as during the 2022 energy crisis, according to the ECB, 2022). At the sectoral level, manufacturing would be hardest hit because of its cyclical sensitivity and heavy dependence on energy inputs. As in 2022, the impact on household confidence should be immediate. Their saving rate would fall in the short term (inflation cutting real household income), then rise as a precautionary response. Consequently, the expected rebound in consumption could be delayed, and the saving rate remain persistently high.

INFLATION SCENARIO IN THE EUROZONE

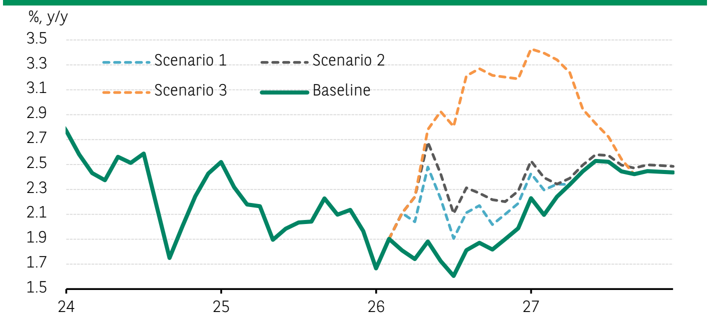


CHART 2 SOURCE: BNP PARIBAS

In the United States, the impact on growth would be slightly lower than in the Eurozone. The importance of domestic energy production acts as a dual buffer. It tempers the transmission of higher market prices and allows a pickup in investment in energy production to offset in part a decline in demand from consumers and non-energy sector corporates. Blanchard and Gali (2008) point out that oil prices now affect growth less than in the past because of a more credible monetary policy and the declining weight of oil in aggregate consumption. Furthermore, the energy shock occurs in a context where the productivity boost associated to artificial intelligence (AI) could be an offsetting factor. Nevertheless, household consumption is likely to slow sharply and immediately under the price increases, while the additional investment would take longer to support the economy.

The impact of the conflict in the Middle East on oil and gas will affect India more than China. In terms of oil, the energy shock is not expected to impact China in the short term given the level of its strategic reserves (1.2 billion barrels). China can absorb the loss of 1.5 million barrels of Iranian crude oil per day without weakening its reserves (Iran accounts for 11% of China's crude oil imports). India has sufficient oil reserves to cover 45 days (only 6 days of crude oil), which is still modest in terms of ensuring its energy security. Following the agreement with the US administration, the Indian government began to turn to Russia with two tankers carrying a total of 1.4 million barrels of Ural crude. In terms of gas, Qatar is one of the world's largest producers of LNG (around 20% of global production) and a key supplier to Asian countries. Qatari LNG accounts for half of India's LNG imports and around 30% of China's. However, Qatar has no alternative but to use the Strait of Hormuz for its exports. A prolonged closure of this strait therefore directly threatens India's energy security. For China, the short-term consequences are less significant as it has other sources of gas supply (via pipelines and domestic production).

In the rest of emerging Asia, growth should remain robust thanks to government support policies. Three countries stand out for providing direct subsidies: Indonesia and Malaysia for petrol (and gas for Indonesia), and India (for gas). In recent years, their governments have significantly reduced their subsidies (which were raised at the start of the conflict in Ukraine in 2022). An increase in subsidies could be decided if oil prices stay persistently high.

1 In Malaysia, the rise in petrol prices could raise public spending by 0.6%-0.8% of GDP (depending on the scenario chosen). However, the cost would be entirely offset by the increase in dividends received from the state-owned oil company PETRONAS. In Indonesia, the government had used a conservative assumption of USD 70/barrel in its 2026 budget. The oil price increase could lead to an additional expenditure of about 0.1% of GDP. In India, gas subsidies for the 2026/2027 fiscal year are estimated at 0.04% of GDP. Therefore, the price increase does not pose a fiscal risk for the country.

CENTRAL BANKS CAN STAY THE COURSE UNLESS A SEVERE SCENARIO UNFOLDS

The ECB is likely to adopt a wait and see stance. Before the outbreak of the war in Iran, the inflationary backdrop in the Eurozone was favourable, and our initial baseline scenario predicted inflation remaining below the 2% target in 2026. Inflation will now probably exceed that level, but the acceleration in core inflation should stay modest, prompting the ECB to observe the developments before taking action. In any case, this shock tests the new **monetary policy strategy** that the **ECB** unveiled in June 2025, which is expressly designed to tolerate modest, temporary deviations - both upward and downward - from the 2% target. The ECB will have to strike the right balance between (i) not overreacting (the energy shock will initially affect imported inflation, over which the ECB has little control) – which would amplify the negative effects on economic activity and household purchasing power; (ii) ensuring that key interest rates are high enough to limit second-round effects (wages pressures, inflation expectations) if the shock persists. At this stage, our scenario still envisages a status quo in 2026, followed by two rate hikes in the second half of 2027.

The Fed is expected to raise rates if market inflation expectations become unanchored. A rise in fuel prices constitutes a negative supply shock that monetary policy cannot directly address (**J. Powell, 2022**). Furthermore, aggregate demand is not as strong as it was in 2022 and the supporting factors that were present then (post-pandemic reopening, excess savings, labour market tensions) are now absent. In addition, the Fed Funds starting point is relatively high, around+3.5% - +3.75%, about 60bp above the FOMC's long-term estimate, whereas it was the zero lower bound four years ago. The reaction function would therefore shift further toward price stability.

The Bank of Japan's goal appears to be the same: not to deviate from its path of reducing the degree of accommodation. A stagflationary shock would not materially change the terms of the equation for the BoJ, which must, on the one hand, arbitrate between inflation, the risk of being "behind the curve" and the level of the JPY (rate hike) and, on the other hand, the adverse consequences for economic activity – even ameliorated by fiscal policy – the competitiveness of the export sector and financial conditions (stability).

FX: A MODEST COMEBACK FOR THE DOLLAR

While the dollar had been on a downward trend for a year, the situation is creating a renewed appetite for it. In the case of EUR/GBP and from a strictly macro/FX interaction perspective, a growth differential that favours the United States and the disappearance of the probability of Fed rate cuts are factors that would support the US dollar. In addition, a positive correlation between the USD (in terms of real effective exchange rate) and the price of Brent crude as existed since the United States became a net exporter of hydrocarbons (2020). In fact, the currencies of other oil-producing countries (such as the Canadian dollar) have also been supported since the surge in oil prices. The magnitude of the USD, however, is for now limited and is likely to remain so in the absence of more durable disruptions (as envisaged in scenario 3).

Article completed on 6 March 2026 by the Advanced Economies team and the Emerging Economies team of the Economic Research.

With the help of Clara Ngo Ba Do (intern)

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE
Easy-to-read monthly overview of inflation dynamics

ECOCHARTS
Monthly barometer of key economic indicators of the main OECD countries.

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago
Image copyright: justit

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world